



PORTFOLIO MANAGEMENT COMPETITION 2026

**The Singhanian Family - A
Single Consolidated Portfolio,
2026-2036**

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Portfolio Management Competition 2026

The Singhania Family - A Single Consolidated Portfolio, 2026-2036

Mandate. Deploy Rs 1.5 crore of first-time market capital into one portfolio reconciling Vikram Singhania's capital-preservation needs with Aarya Singhania's growth ambition, across a ten-year horizon punctuated by an RBI easing cycle (2029) and a defence-export boom (2033).^[14]

Parameter	Detail
Investable corpus	Rs 1,50,00,000 - pure surplus; no further contributions
Horizon	10 years (2026-2036); rebalancing at 2029 and 2033 only
Universe	NSE/BSE equities (Nifty Total Market), G-Secs, corporate bonds, Gold (ETF/SGB), REITs & InvITs
Four goals	Rs20L liquidity by 2028 Rs50L property 2031 Rs1.5cr stable corpus 2036 Rs2cr growth pool 2036
Macro events	2029 repo 5.25%→3.5% 2033 India >\$5bn defence exports + 10-yr PLI
Companion model	Excel: 29 sheets incl. WACC & 10-yr DCF for every company, beta regression, correlation, Markowitz, sector screens

All figures in Rs lakh unless stated; market data as of 19 June 2026.

For all the detailed Excel Models made and calculations done, please refer to this:

[PMC '26_Model_Calculations](#)

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Executive Summary

We deploy the family's Rs1.5 crore as **one consolidated portfolio with four internal baskets** - Liquidity, a Property-funding ladder, Vikram's Income basket and Aarya's Growth basket - on a glide path that earns early and protects late. Initial allocation: 37% equity, 8% gold, 55% fixed income & REITs/InvITs.

Goal	Target (RsL)	Projected (RsL)	Status	Key driver
Liquidity 2028	20	20.2	MET	Liquid G-Sec buffer
Property 2031	50	50.5	MET	Maturity-matched ladder
Vikram stable 2036	150	151.2	MET	2033 de-risking
Aarya growth 2036	200	157.0	STRETCH	Equity compounding

Verdict. Vikram's Rs1.5cr (binding, preservation-first) is met in every scenario; Aarya's Rs2cr is reached once equity compounds at ~14.5%+. The Rs50L property purchase consumes a third of the corpus, so only ~Rs100L truly compounds - resolved by prioritising certainty on preservation and optionality on growth. Equity-sleeve Sharpe 0.32, Treynor 0.05, Jensen alpha +0.64%.^[14]

Assumptions Sheet (Mandatory)

Every material assumption is listed here, mirroring a real investment mandate.^[14]

A. Expected returns by asset class (anchored to PS)

Asset class	Return p.a.	Basis / justification
Risk-free	6.0%	PS anchor
Market (Nifty 10Y)	10.7%	PS anchor
Large-cap equity	11.0%	PS anchor
Mid/small equity	13.0%	PS anchor (higher volatility)
Defence basket	12-13.5%	3-7.6x order-book cover, ~30% margins
L&T / ICICI	11-11.5%	Near large-cap anchor
Bajaj Fin / Max	12.5-13%	16-22% FY26 growth
G-Secs	6.5%	PS anchor (real 10Y ~6.8-7%)
AAA bonds	7.5%	PS anchor
Gold	8.0%	PS anchor
REITs/InvITs	8.5%	IndiGrid ~8.4%, Embassy/Nexus 6-7%+growth

B. Event assumptions

2029 RBI easing. Repo 5.25%→3.5%. Modelled: +6% MTM on held bonds, +4% gold, +5% REIT/InvIT, +5% rate-sensitive equity; reinvestment falls to G-Sec 5.0%/AAA 6.2%.

2033 Defence boom. India >\$5bn exports + 10-yr PLI. Modelled: +18% defence basket, +4% industrials; trigger to de-risk into G-Secs/AAA.

C. Goal interpretation

- **Liquidity** - Rs20L liquid by 2028 (Rs18L→Rs20.2L); permanent safety net.
- **Property** - Rs50L from AAA/G-Sec ladder maturing 2031 (Rs34L→~Rs50.5L).
- **Vikram** - Rs1.5cr+ stable income instruments by 2036 - binding, met with confidence.
- **Aarya** - Rs2cr+ via growth by 2036 - stretch; base ~Rs1.57cr, Rs2cr+ at ~14.5% CAGR.

D. Other judgement calls

- Rebalancing only at 2029 and 2033; liquidity held throughout.
- Inflation ignored for sizing (PS); real-vs-nominal in Bonus.
- Costs ignored (PS); tax qualitative (LTCCG 12.5%, debt at slab).
- SGBs discontinued 2024 → gold via ETF + secondary SGBs.
- No leverage - preservation-anchored for Vikram.
- Equity sigma ~19.3% (Markowitz) for Sharpe; betas from 5Y monthly regression.
- FCFF DCF for non-financials; residual-income P/B for banks/NBFCs.

1. Investment Policy Statement

1.1 Client & purpose

Vikram Singhania (58) built a Rajasthan textile business over three decades and is handing control to his daughter Aarya (29), an MBA graduate. A partial stake sale released **Rs 1.5 crore** - the family's first listed-market capital. Vikram prizes preservation and needs lifelong income; Aarya, with no dependents or EMIs, wants long-horizon growth. This IPS honours both within a single pool over 2026-2036.^[14]

1.2 Duties

- **Investors** - communicate goals; disclose liquidity needs; avoid impulsive deviations.
- **Manager** - design allocation; security due diligence; monitor, report, comply; flag risk shifts.
- **Jointly** - review/rebalance at the two event points; revise IPS on material change.

1.3 Objectives

Goal	By	Specific objective
Liquidity	2028	Rs20L readily accessible in safe, liquid instruments.
Property	2031	Fund Rs50L outflow without disrupting the book - matched ladder.
Vikram	2036	Rs1.5cr+ stable, income-generating; preservation + steady income.
Aarya	2036	Rs2cr+ via growth; long horizon, India-decade conviction.

1.4 Constraints

- **Horizon** - 10y with interim liquidity (2028) and a hard cash call (2031).
- **Liquidity** - Tiered: liquid for 2028/2031; income for Vikram; growth for Aarya.
- **Risk tolerance** - Asymmetric: low for Vikram (binding), high for Aarya; two baskets, one pool.
- **Universe** - Only NSE/BSE equities, G-Secs, corp bonds, Gold (ETF/SGB), REITs/InvITs. No MFs, index funds, FDs, intl, unlisted, derivatives.
- **Unique** - Costs/business/EMIs from other income; the Rs1.5cr is pure surplus; no unforeseen withdrawals.

1.5 Evaluation

Tracked absolutely vs the four goals and relative to Nifty 50 (equity) and a composite bond index (debt); reviewed at the two rebalancing points or earlier on material change.

2. Investment Philosophy

Family-specific lens. This is not a generic conservative portfolio. Vikram spent three decades running a textile manufacturing business through commodity and capex cycles - he reads order books, capacity utilisation and working-capital swings intuitively. We deliberately overweight defence, capital goods and manufacturing-led compounders because they are businesses the family genuinely understands; this is informed conviction, not speculation. Aarya's MBA conviction in India's decade is expressed through the growth sleeve, while Vikram's hard-won caution is honoured by the preservation sleeve and the glide path.

2.1 Goals-based bucketing in one pool

Four baskets - Liquidity, Property ladder, Vikram's Income, Aarya's Growth - each tied to a goal and horizon, sharing one custody pool and one rebalancing calendar. This ring-fences preservation while letting growth compound.^[15]

2.2 Glide path: earn early, protect late

Growth tilt in 2026-2033 when the family can absorb volatility, then decisive de-risking at the 2033 rebalance so Vikram's Rs1.5cr sits in G-Secs/bonds/REITs by 2036. Preservation is honoured by the destination, not by hiding in cash for a decade.

2.3 Asymmetry & events as opportunities

Downside protection is weighted above upside capture for the pool (gold + high-grade duration are permanent ballast). The two announced events are scheduled opportunities - 2029 to lock duration and re-rate income assets, 2033 to harvest equity gains and fund de-risking. Every security clears a fundamental and a valuation screen; no leverage.

2.4 Principles & exclusions

- **Quality first** - positive FCF, improving margins, conservative leverage, credible owners.
- **Visibility** - multi-year revenue visibility: order books, contracted assets, demographic demand.
- **Prudent** - avoid stressed balance sheets and pure commodity cycles; defence via listed, screened PSUs/specialists.

3. Macro, Events & Universe

3.1 India 2026 - the decade thesis

India enters the horizon as the fastest-growing large economy, with a ~6% repo^[10], a 10Y G-Sec near 6.8-7.0%, a capex upcycle and a structural defence-indigenisation drive. The portfolio harvests this decade while protecting against drawdowns.

3.2 Event 1 (2029) - RBI easing 5.25% to 3.5%

~175bps of cuts re-price bonds up, lower reinvestment yields and cut the discount rate on long-duration assets. Winners: rate-sensitive financials, real estate, autos; income instruments rotate toward REITs/InvITs as relative yields widen.

3.3 Event 2 (2033) - \$5bn defence exports + PLI

A 10-yr PLI and domestic-sourcing mandates re-rate listed manufacturers (BEL, HAL, Solar, Mazagon) and lift industrials (L&T). New capacity invites competition, so re-ratings are harvested, not extrapolated - dovetailing with our 2033 de-risking.

3.4 Universe & instrument roles

Instrument	Role	Goal
Equities	Growth engine; defence + quality compounders	Aarya
G-Secs	Sovereign core; buffer + 2031 ladder + income	Liq/Prop/Vikram
AAA bonds	Higher carry than G-Sec; ladder + income	Prop/Vikram
Gold (ETF/SGB)	Crisis hedge, lower-real-rate beneficiary	Aarya ballast
REITs/InvITs	8-9% income + inflation; rate-cut re-rating	Vikram

4. Portfolio Construction

4.1 Strategic allocation (2026)

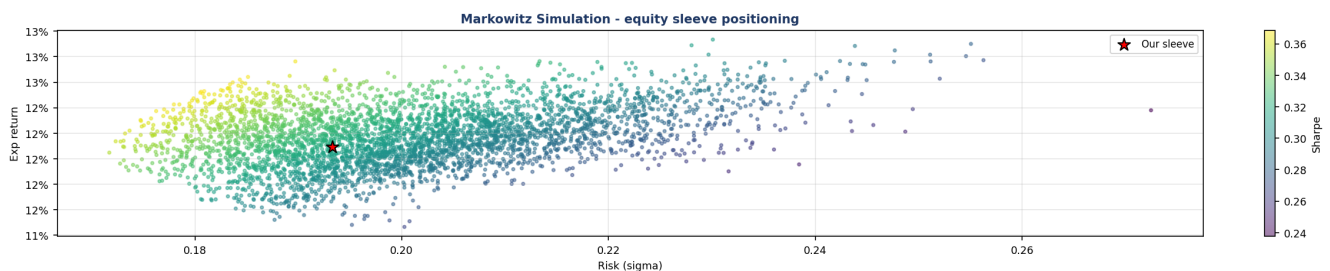
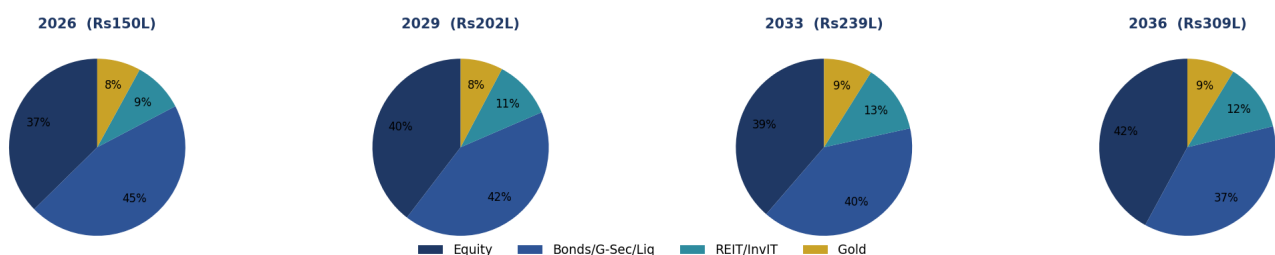
Initial deployment: 37% equity, 8% gold, 55% fixed income & REITs/InvITs - a moderate-growth blend. Liquidity buffer and property ladder are carved out first.

Initial 2026 Allocation - Rs1.5 crore (Equity 37% | Gold 8% | Fixed income + REITs 55%)

Basket	RsL	%	Instruments & objective
LIQUIDITY	18	12%	Liquid G-Sec/TREPS - Rs20L by 2028
PROPERTY	34	23%	AAA/G-Sec maturing 2031
Income G-Sec	6	4%	Sovereign core (Vikram)
Income AAA	10	7%	High-grade carry
REITs/InvITs	16	11%	Embassy, Nexus, IndiGrid
Gold ETF/SGB	12	8%	Hedge/ballast
Eq Defence	26	17%	BEL, HAL, Solar
Eq Core	18	12%	L&T, ICICI
Eq Growth	12	8%	Bajaj Finance, Max
TOTAL	150	100%	Single consolidated portfolio

4.2 Equity sleeve, Markowitz & glide path**Equity Sleeve Composition (Rs56L)**

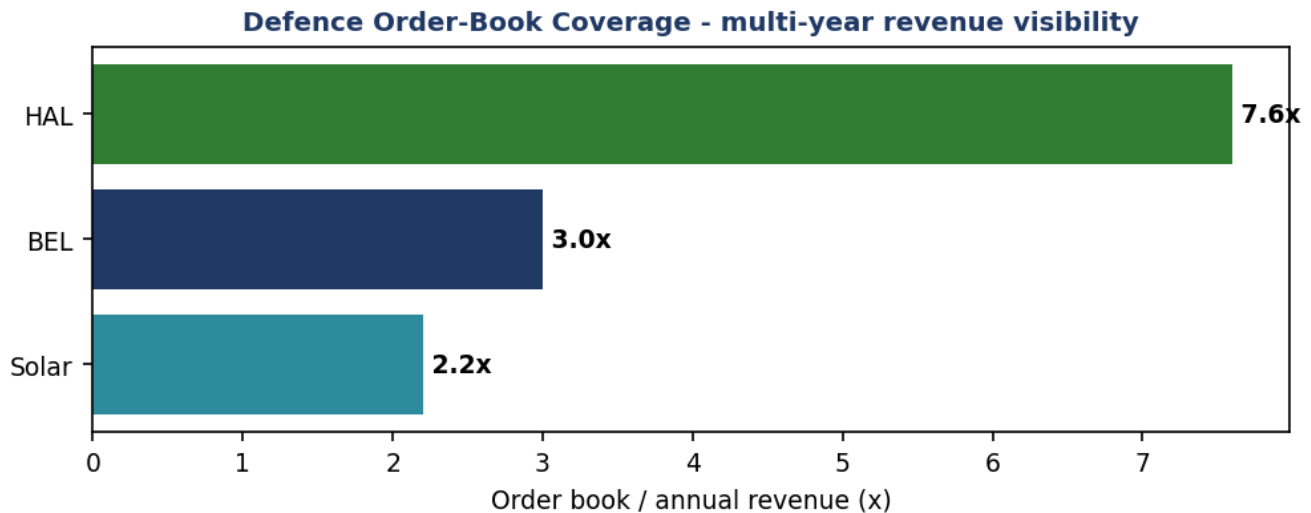
Seven names across four themes, tilted to the 2033 defence catalyst with a quality, rate-cycle and demographic spine. A 4,000-portfolio Markowitz simulation (left) places the sleeve near the efficient frontier for its risk (sigma ~19.3%, E(r) ~12.1%); the allocation evolution (right) shows the deliberate de-risking - equity-heavy early, rotating into bonds at the 2033 rebalance so Vikram's corpus is stable by 2036.

**Portfolio Evolution - Glide Path**

5. Security Deep Dives

For each holding: ticker snapshot, business & industry, shareholding, 7-year financials, concall, WACC & 10-yr DCF (residual-income P/B for financials), implied-growth resolution and the thesis with 2+ data points and the alternative it beats.^[15]

Core thesis visual. Order-book cover is the spine of the defence basket - years of revenue already contracted, the single best argument for the 2033 catalyst:



5.1 Bharat Electronics (Defence Electronics)

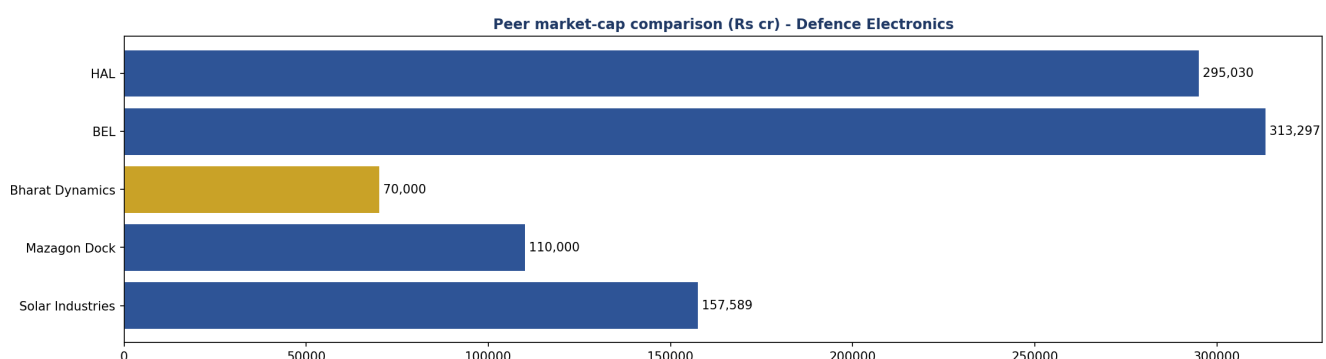
Sector thesis. India's defence sector is structurally re-rating: the FY26 defence budget is Rs6.81L cr (+9.5% YoY) and exports have risen ~34x since FY14 toward the \$5bn (2033) milestone, under a decade-long indigenisation + PLI push. Vikram's three decades in textile manufacturing make him a natural judge of order-book-backed industrials - so this is informed conviction, not a momentum bet.

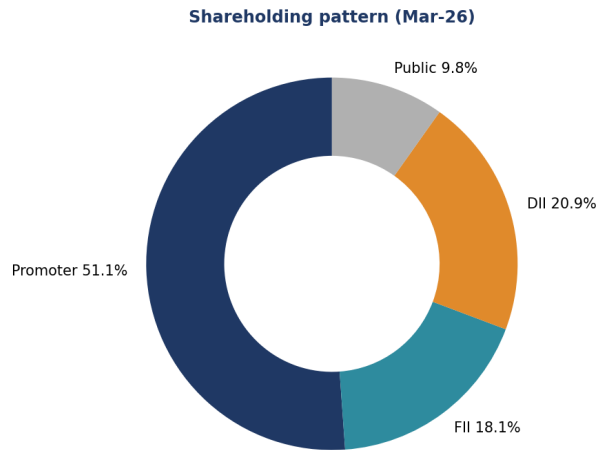
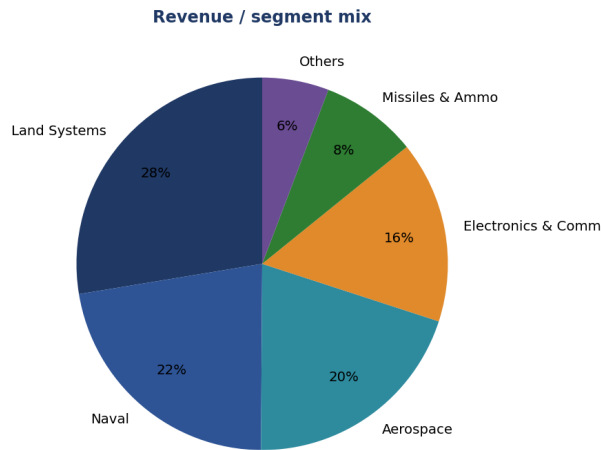
INDUSTRY	Defence Electronics	MKT CAP	Rs3.13L cr
CMP	Rs425.35	BOOK VAL	Rs27.15
52W H/L	473.45/361.2	P/E	51.68
P/B	15.67	BETA / ALLOC	1.28 / Rs10L

Overview. India's pre-eminent defence-electronics PSU (radars, EW, C4I, naval & missile electronics, with a small civilian footprint). Incorporated 1954; Navratna.^[1]

Industry context. Bharat Electronics sits in Defence Electronics, a structural growth vertical of India's coming decade. The peer screen below ranks BEL against its closest listed competitors on growth, returns and margins; the full comparison sits in the Excel sector sheet.

Industry & peers





Shareholding (Mar-26). Promoter 51.14%, FII 18.15%, DII 20.88%, public 9.84%. Heavy institutional ownership signals professional conviction.^[1]

Annual report interpretation

Metric	2020	2021	2022	2023	2024	2025	2026
Revenue (Rs cr)	12,968	14,063	15,044	17,333	19,820	23,769	27,620
EBITDA margin %	20.0%	21.3%	21.0%	23.0%	24.5%	26.8%	30.0%
RoE %	18.5%	16.0%	17.0%	20.0%	23.0%	26.5%	28.0%
EPS (Rs)	3.6	3.6	4.0	4.8	5.5	6.2	8.3
Interest cover (x)	120	140	160	200	260	420	600

Revenue compounded from Rs12,968cr (FY20) to ~Rs27,620cr (FY26), a ~13% CAGR. Gross margins rose with a richer electronics mix; EBITDA margin reached ~30%. EPS more than doubled FY20–FY26; dividends paid every year. Net cash balance sheet (D/E ~0.0002).

Balance sheet & cash flow. Bharat Electronics runs a net-cash / negligibly-gearred balance sheet (debt-to-equity 0.0002), funding growth largely from internal accruals. An RoE of ~28.0% on a 15.67x book reflects high returns on capital; operating cash conversion supports the capex pipeline without leverage.

Income statement (derived, Rs cr). EBITDA and EBIT are derived from reported revenue and margins; PAT from EPS x shares.

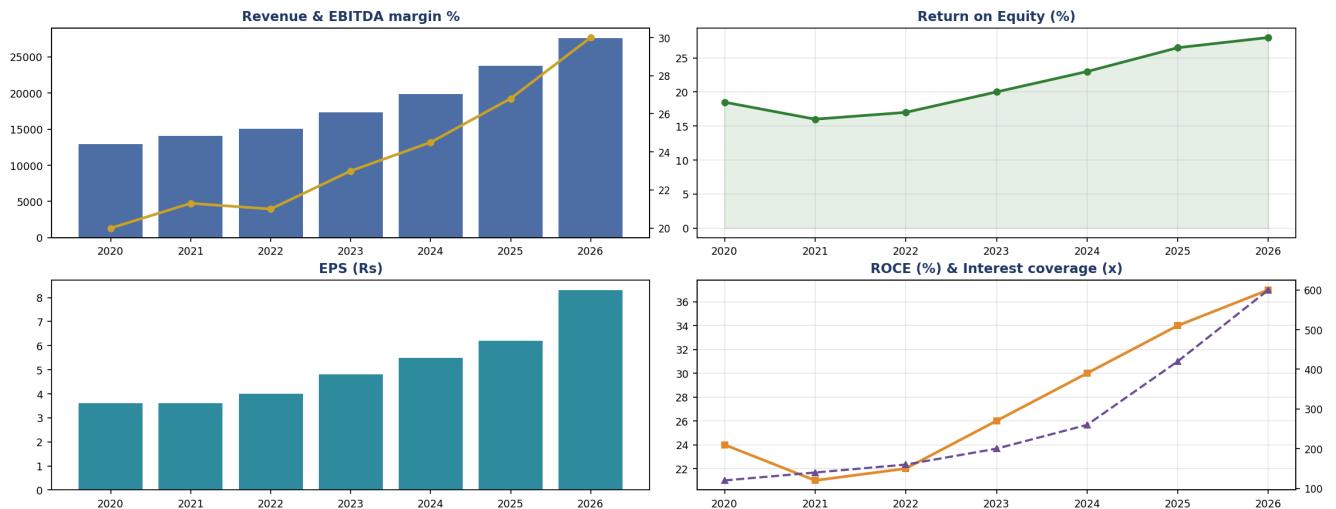
Line	2024	2025	2026
Revenue	19,820	23,769	27,620
EBITDA	4,856	6,370	8,286
EBIT (approx)	4,658	5,586	6,491
PAT (approx)	4,020	4,532	6,067
EPS (Rs)	5.5	6.2	8.3

Management commentary

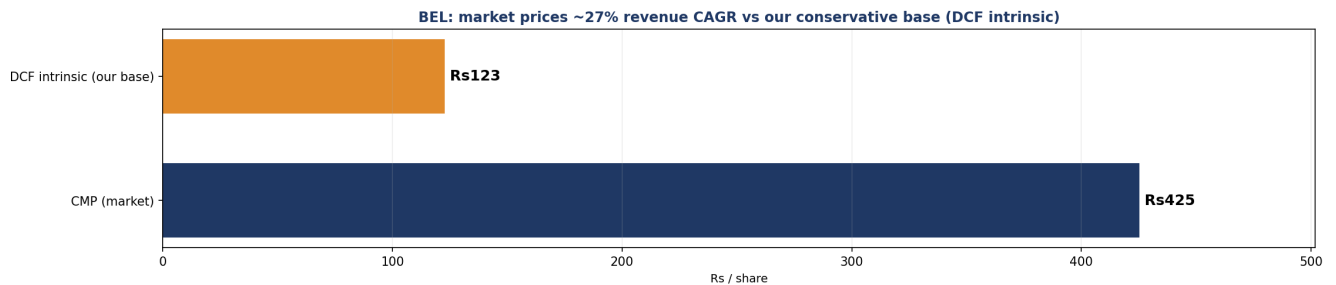
QRSAM (~Rs30,000cr) expected FY27; Next-Gen Corvettes electronics (~Rs6,000–10,000cr); Project Kusha (indigenous S-400) share Rs20,000–40,000cr; Emergency Procurement order inflow a near-term catalyst. FY26 exports ~\$106m, FY26 target \$120m; 20%+ medium-term export growth targeted.^[1]

Financial analysis

Bharat Electronics - financial trends FY20-FY26



Price vs intrinsic value



WACC & valuation

Metric	FY26	FY31E	FY36E	Note
Revenue (Rs cr)	27,620	46,541	78,425	~11% CAGR
EBIT margin	24%	24%	24%	held flat
WACC / term g	12.0%	-	6.0%	CAPM Ke
Intrinsic / sh	Rs123	CMP Rs425	-71%	DCF floor

10-Year FCFF DCF. WACC 12.0%, terminal g 6.0%, tax 30%. Sum PV(FCFF) + PV(TV) = EV ~Rs89,733cr, giving an intrinsic value of Rs123/share vs CMP Rs425 (-71%). The year-by-year projection:

Year	Revenue	EBIT	FCFF	DF	PV(FCFF)
2027	31,763	7,464	3,567	0.89	3,185
2028	36,210	8,509	4,219	0.80	3,362
2029	40,917	9,616	4,908	0.71	3,492
2030	45,827	10,769	5,626	0.64	3,574
2031	50,868	11,954	6,364	0.57	3,608
2032	55,955	13,149	7,108	0.51	3,598
2033	60,991	14,333	7,844	0.45	3,545
2034	65,870	15,479	8,558	0.40	3,453
2035	70,481	16,563	9,233	0.36	3,325
2036	74,710	17,557	9,853	0.32	3,168

Reading the DCF. A conservative FCFF DCF values BEL near Rs123/sh - below CMP. As with most premium compounders, the market prices longer/higher growth than we assume; DCF is our downside floor, while the thesis rests on order-book visibility, earnings momentum and the event catalysts. Full 10-year model in Excel sheet DCF-BEL.

Valuation cross-check. At ~51.68x trailing earnings against ~11% expected growth, the implied PEG is ~4.7. Optically rich, but justified by multi-year order-book/contracted-asset cover and best-in-class returns versus sector peers.

Implied-growth resolution

Implied-growth read. Reverse-engineering a DCF to CMP Rs425, the market is discounting roughly 27% revenue CAGR for a decade, versus our deliberately conservative base of ~11%. That is demanding, but it is underwritten by Rs73,882cr (~3x sales) (multi-year cover) and the 2033 catalyst; BEL's FY26 delivery (FY26 PAT Rs6,048cr (+14% YoY)) shows the trajectory is already in motion. We are happy to own visibility the market pays up for, with our DCF as the downside floor.

Thesis - why it beats alternatives

- **Data point 1** - Order book Rs73,882cr at Q4 FY26 (~3x annual sales) — multi-year revenue visibility.
- **Data point 2** - FY26 PAT Rs6,048cr (+14% YoY); EBITDA margin expanded to ~30% from ~28%.

Edge. BDL's FY26 revenue fell ~27% on execution delays; BEL grew double-digits on a far larger, diversified electronics book with ~30% margins and a near-cash balance sheet - a cleaner, lower-risk way to own the defence cycle.^[5]

Stock-specific risks

- Lumpy PSU order timing and pricing pressure on large tenders can dent any single year.
- Slower indigenisation or import-content relaxation would cap the re-rating.

Outlook & role

Over 2026-2036 we expect Bharat Electronics to compound near ~12.0% (our anchored assumption), with the 2033 defence re-rating as the key upside catalyst. It enters Aarya's growth sleeve at Rs10L (~18% of equity). At the 2033 rebalance we trim part of the re-rated position to lock gains into Vikram's stable corpus, keeping the holding aligned to the family's risk hierarchy.

5.2 Hindustan Aeronautics (Aerospace & Defence)

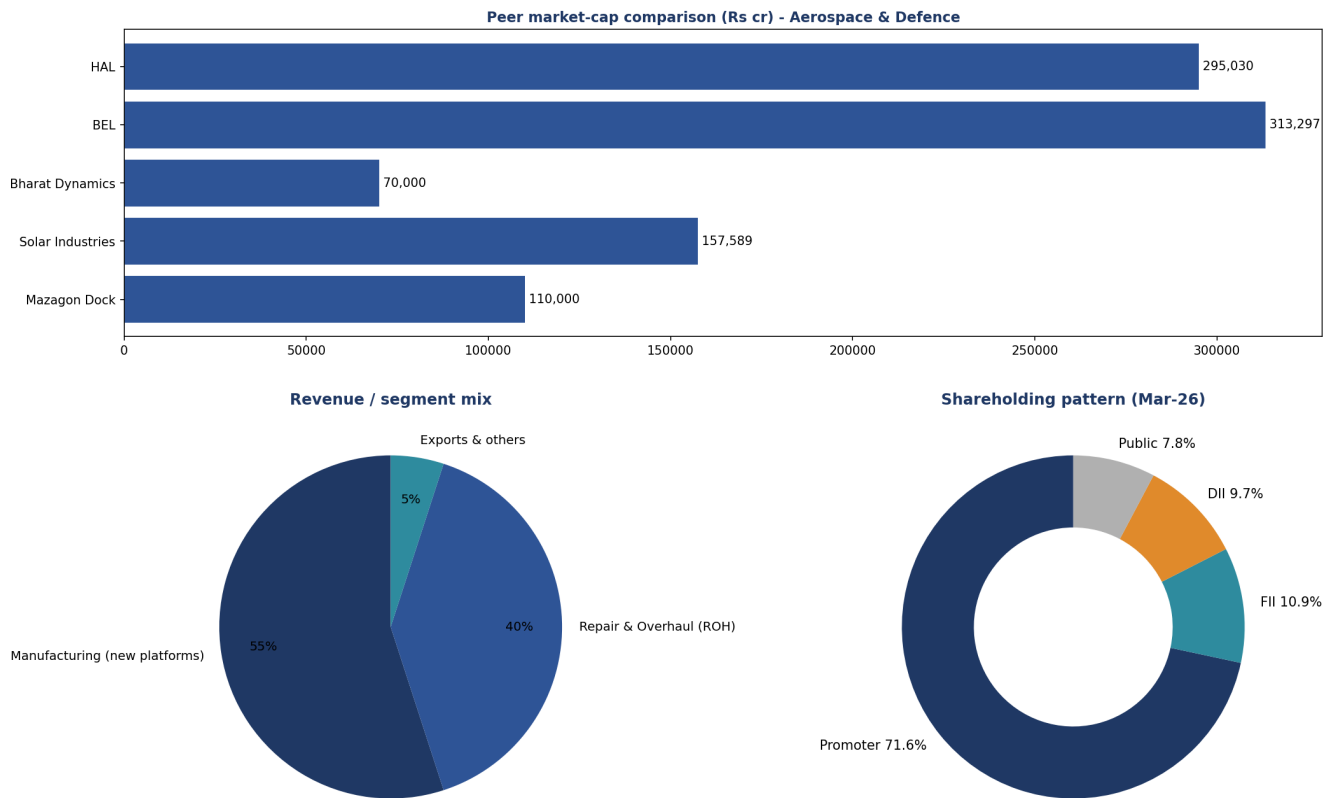
Sector thesis. Indian aerospace is a multi-decade indigenisation story (Tejas, helicopters, engines, MRO) with a captive customer in the armed forces and a widening export window. Backlogs here are measured in years of revenue, giving rare visibility for an equity holding.

INDUSTRY	Aerospace & Defence	MKT CAP	Rs2.95L cr
CMP	Rs4,406.60	BOOK VAL	Rs549.5
52W H/L	5068/3479.1	P/E	32.5
P/B	8.02	BETA / ALLOC	1.3 / Rs9L

Overview. Monopoly Indian manufacturer of military aircraft, helicopters and aero-engines (Tejas LCA, ALH, LCH, engines & avionics). Maharatna PSU.^[2]

Industry context. Hindustan Aeronautics sits in Aerospace & Defence, a structural growth vertical of India's coming decade. The peer screen below ranks HAL against its closest listed competitors on growth, returns and margins; the full comparison sits in the Excel sector sheet.

Industry & peers



Shareholding (Mar-26). Promoter 71.64%, FII 10.86%, DII 9.74%, public 7.76%. Stable promoter holding with rising institutional interest.^[2]

Annual report interpretation

Metric	2020	2021	2022	2023	2024	2025	2026
Revenue (Rs cr)	21,445	22,755	24,620	26,928	30,381	30,981	33,089
EBITDA margin %	22%	24%	23%	25%	27%	28%	30%
RoE %	25%	22%	24%	27%	28%	29%	28%
EPS (Rs)	55	62	72	88	110	128	136
Interest cover (x)	80	100	140	200	300	400	500

Revenue grew from Rs21,445cr (FY20) to Rs33,089cr (FY26). Margins improved with manufacturing mix (Tejas Mk1A, engines). RoE consistently >25%; near-zero net debt. EPS roughly tripled FY20–FY26.

Balance sheet & cash flow. Hindustan Aeronautics runs a net-cash / negligibly-gearred balance sheet (debt-to-equity 0.0000), funding growth largely from internal accruals. An RoE of ~28% on a 8.02x book reflects high returns on capital; operating cash conversion supports the capex pipeline without leverage.

Income statement (derived, Rs cr). EBITDA and EBIT are derived from reported revenue and margins; PAT from EPS x shares.

Line	2024	2025	2026
Revenue	30,381	30,981	33,089
EBITDA	8,203	8,675	9,927
EBIT (approx)	8,203	8,365	8,934
PAT (approx)	7,364	8,570	9,105

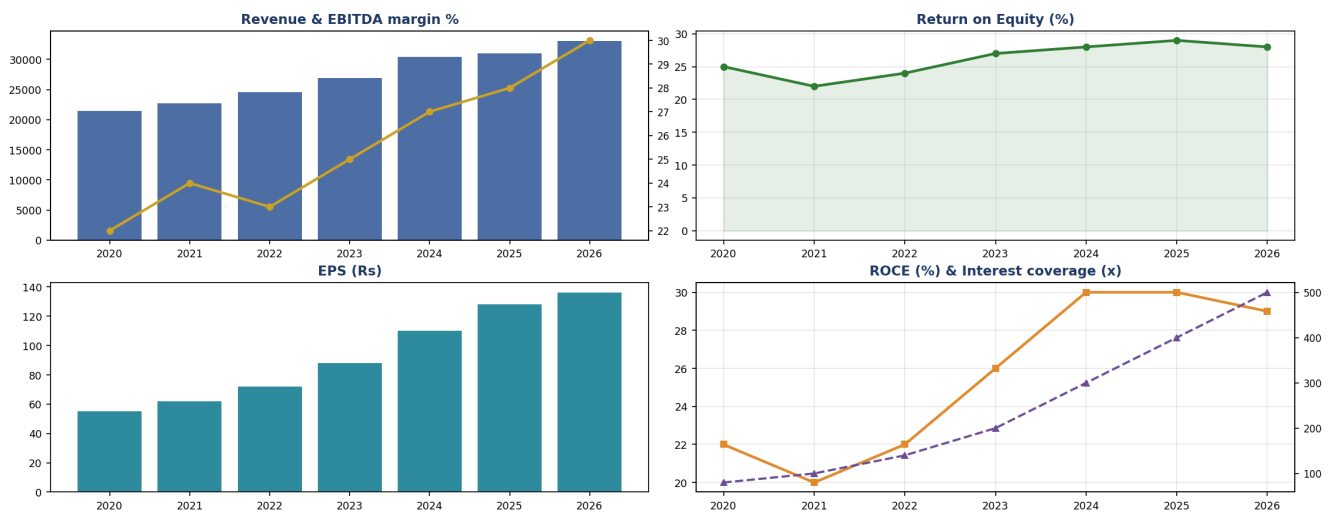
Line	2024	2025	2026
EPS (Rs)	110	128	136

Management commentary

83 Tejas Mk1A (Rs48,000cr) executing; 97 additional Mk1A and 156 LCH (Rs62,700cr) firmed; engine programme (IMRH/CATS) building. ROH stream provides annuity revenue; export push to friendly nations underway.^[2]

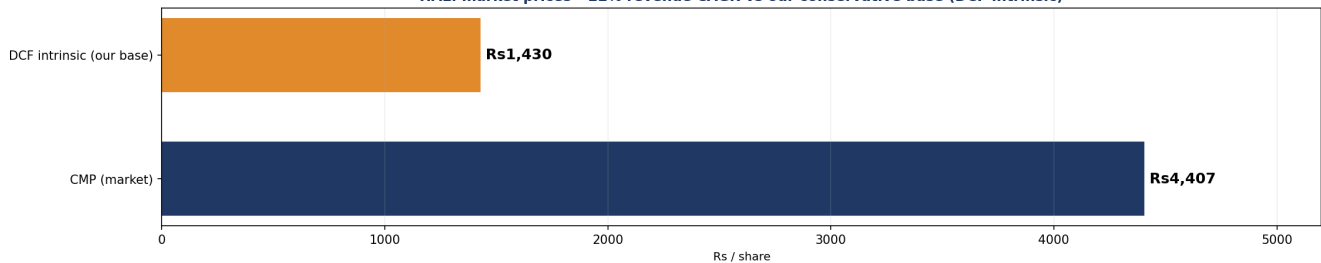
Financial analysis

Hindustan Aeronautics - financial trends FY20-FY26



Price vs intrinsic value

HAL: market prices ~22% revenue CAGR vs our conservative base (DCF intrinsic)



WACC & valuation

Metric	FY26	FY31E	FY36E	Note
Revenue (Rs cr)	33,089	49,754	74,814	~8% CAGR
EBIT margin	27%	27%	27%	held flat
WACC / term g	12.1%	-	6.0%	CAPM Ke
Intrinsic / sh	Rs1,430	CMP Rs4,407	-68%	DCF floor

10-Year FCFF DCF. WACC 12.1%, terminal g 6.0%, tax 30%. Sum PV(FCFF) + PV(TV) = EV ~Rs95,759cr, giving an intrinsic value of Rs1,430/share vs CMP Rs4,407 (-68%). The year-by-year projection:

Year	Revenue	EBIT	FCFF	DF	PV(FCFF)
2027	36,398	9,827	4,501	0.89	4,015
2028	40,038	10,810	5,116	0.80	4,071
2029	43,641	11,783	5,740	0.71	4,074
2030	47,569	12,844	6,404	0.63	4,054

Year	Revenue	EBIT	FCFF	DF	PV(FCFF)
2031	51,374	13,871	7,062	0.56	3,988
2032	55,484	14,981	7,757	0.50	3,907
2033	59,368	16,029	8,428	0.45	3,786
2034	63,524	17,151	9,131	0.40	3,659
2035	67,335	18,181	9,790	0.36	3,499
2036	71,375	19,271	10,472	0.32	3,339

Reading the DCF. A conservative FCFF DCF values HAL near Rs1,430/sh - below CMP. As with most premium compounders, the market prices longer/higher growth than we assume; DCF is our downside floor, while the thesis rests on order-book visibility, earnings momentum and the event catalysts. Full 10-year model in Excel sheet DCF-HAL.

Valuation cross-check. At ~32.5x trailing earnings against ~8% expected growth, the implied PEG is ~3.8. Optically rich, but justified by multi-year order-book/contracted-asset cover and best-in-class returns versus sector peers.

Implied-growth resolution

Implied-growth read. Reverse-engineering a DCF to CMP Rs4,407, the market is discounting roughly 22% revenue CAGR for a decade, versus our deliberately conservative base of ~8%. That is demanding, but it is underwritten by Rs2.54 lakh cr (~7.6x sales) (multi-year cover) and the 2033 catalyst; HAL's FY26 delivery (FY26 revenue Rs33,089cr (+7%), PAT Rs9,116cr (+9%), EBITDA margin ~30%) shows the trajectory is already in motion. We are happy to own visibility the market pays up for, with our DCF as the downside floor.

Thesis - why it beats alternatives

- **Data point 1** - Order book Rs2.54 lakh cr at Mar-26 (~7.6x sales) — among the deepest backlogs in Indian industry.
- **Data point 2** - FY26 revenue Rs33,089cr (+7%), PAT Rs9,116cr (+9%), EBITDA margin ~30%; fresh orders Rs97,028cr in FY26.

Edge. HAL's Rs2.54L cr backlog (~7.6x sales) dwarfs Mazagon's ~Rs27,415cr, giving longer visibility and lower single-contract dependence. HAL is the purest beneficiary of indigenous aerospace and the 2033 PLI; Mazagon stays a watch-list alternative.^[4]

Stock-specific risks

- Execution/delivery slippage on Tejas and engine programmes delays revenue recognition.
- High base and a stretched ~32x multiple leave little room for disappointment.

Outlook & role

Over 2026-2036 we expect Hindustan Aeronautics to compound near ~12.0% (our anchored assumption), with the 2033 defence re-rating as the key upside catalyst. It enters Aarya's growth sleeve at Rs9L (~16% of equity). At the 2033 rebalance we trim part of the re-rated position to lock gains into Vikram's stable corpus, keeping the holding aligned to the family's risk hierarchy.

5.3 Solar Industries (Explosives & Defence)

Sector thesis. Defence munitions and propellants are the fastest-growing slice of India's defence spend; a handful of listed specialists capture Pinaka, ammunition and loitering-munition demand. The export angle compounds the domestic order book.

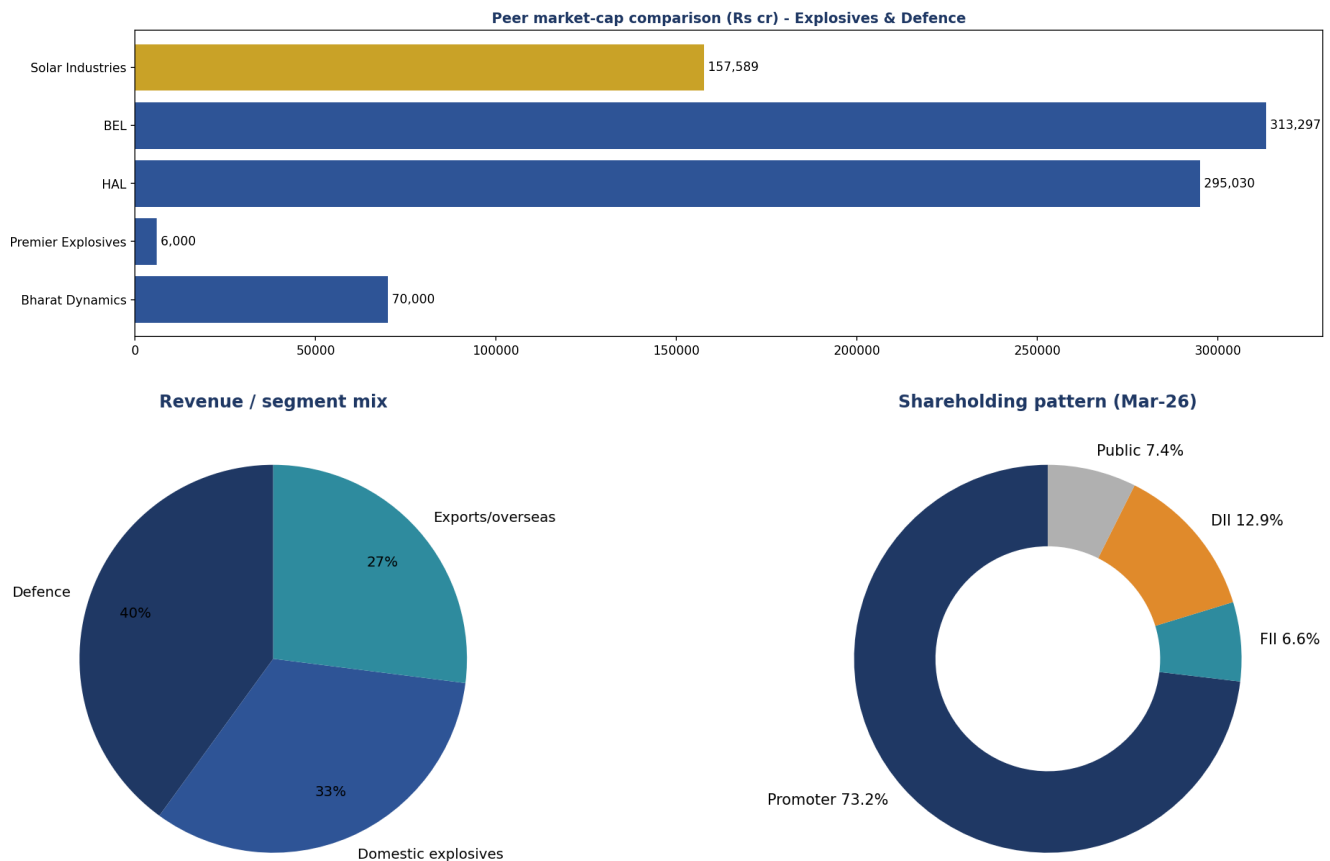
INDUSTRY	Explosives & Defence	MKT CAP	Rs1.58L cr
CMP	Rs17,766.00	BOOK VAL	Rs504.7

52W H/L	18500/8700	P/E	95.46
P/B	35.2	BETA / ALLOC	1.15 / Rs7L

Overview. World-scale industrial-explosives maker (mining, infrastructure) rapidly scaling defence — Pinaka rockets, ammunition, propellants, loitering munitions, drones.^[3]

Industry context. Solar Industries sits in Explosives & Defence, a structural growth vertical of India's coming decade. The peer screen below ranks SOLARINDS against its closest listed competitors on growth, returns and margins; the full comparison sits in the Excel sector sheet.

Industry & peers



Shareholding (Mar-26). Promoter 73.2%, FII 6.6%, DII 12.9%, public 7.4%. Stable promoter holding with rising institutional interest.^[3]

Annual report interpretation

Metric	2020	2021	2022	2023	2024	2025	2026
Revenue (Rs cr)	2,273	2,606	3,550	5,685	6,070	7,569	9,838
EBITDA margin %	20%	21%	18%	22%	24%	25%	26%
RoE %	22%	24%	26%	33%	30%	32%	34%
EPS (Rs)	40	46	60	110	118	150	182
Interest cover (x)	12	14	16	22	26	30	34

Revenue compounded ~28% FY20–FY26 (Rs2,273cr → Rs9,838cr) as defence and exports scaled. RoE/ RoCE in the low-30s%; high reinvestment (capex for ammunition/propellant capacity).

Balance sheet & cash flow. Solar Industries runs a net-cash / negligibly-gearred balance sheet (debt-to-equity 0.15), funding growth largely from internal accruals. An RoE of ~34% on a 35.2x book reflects high returns on capital; operating cash conversion supports the capex pipeline without leverage.

Income statement (derived, Rs cr). EBITDA and EBIT are derived from reported revenue and margins; PAT from EPS x shares.

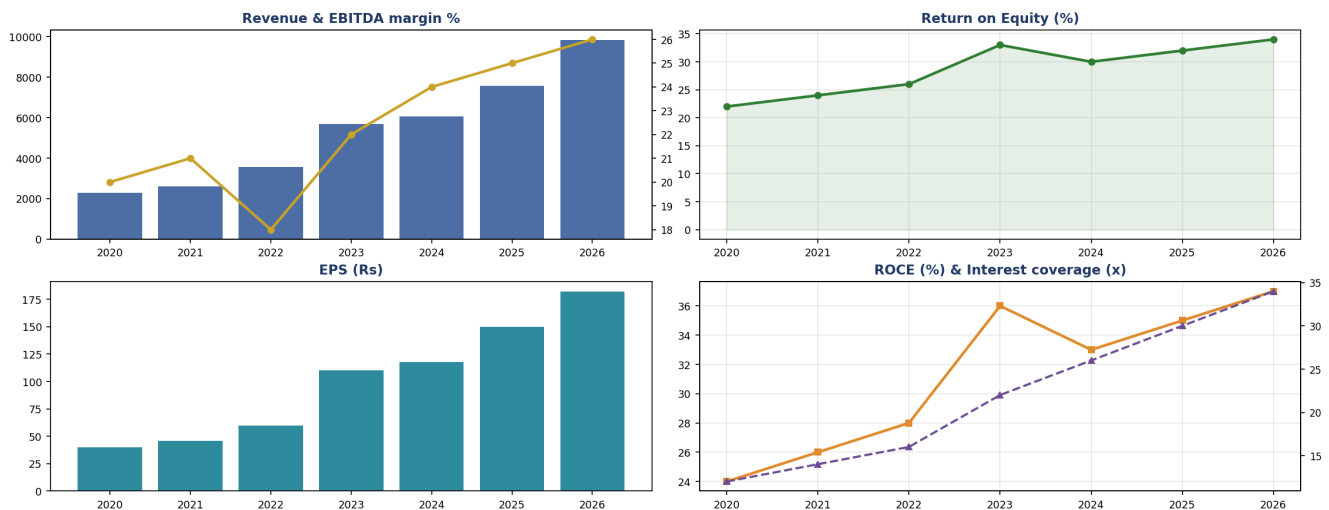
Line	2024	2025	2026
Revenue	6,070	7,569	9,838
EBITDA	1,457	1,892	2,558
EBIT (approx)	1,366	1,703	2,214
PAT (approx)	1,068	1,358	1,647
EPS (Rs)	118	150	182

Management commentary

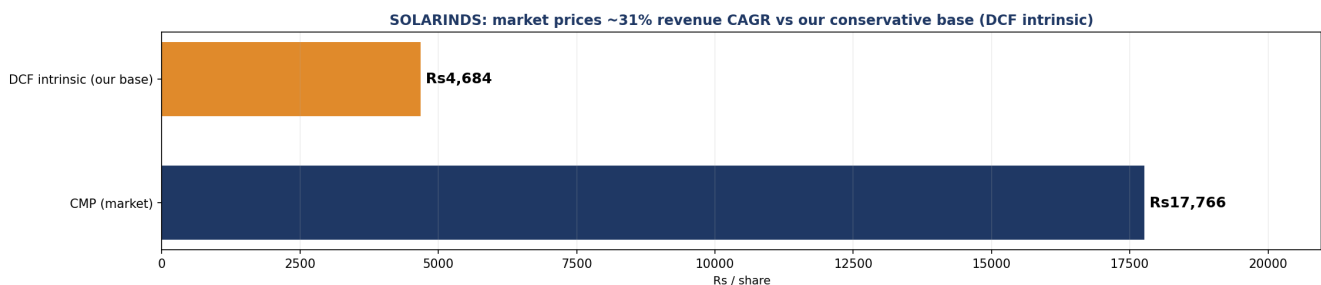
Pinaka deliveries ramping; loitering-munition and ammunition export orders; multi-year defence pipeline; management guides Rs14,000cr FY27 revenue at maintained margins; international business +32% YoY.^[3]

Financial analysis

Solar Industries - financial trends FY20-FY26



Price vs intrinsic value



WACC & valuation

Metric	FY26	FY31E	FY36E	Note
Revenue (Rs cr)	9,838	19,788	39,800	~15% CAGR
EBIT margin	22%	22%	22%	held flat
WACC / term g	11.4%	-	6.0%	CAPM Ke
Intrinsic / sh	Rs4,684	CMP Rs17,766	-74%	DCF floor

10-Year FCFF DCF. WACC 11.4%, terminal g 6.0%, tax 30%. Sum PV(FCFF) + PV(TV) = EV ~Rs43,864cr, giving an intrinsic value of Rs4,684/share vs CMP Rs17,766 (-74%). The year-by-year projection:

Year	Revenue	EBIT	FCFF	DF	PV(FCFF)
2027	12,593	2,833	899	0.90	807
2028	15,615	3,513	1,341	0.81	1,081
2029	18,738	4,216	1,796	0.72	1,299
2030	21,923	4,933	2,254	0.65	1,463
2031	24,993	5,623	2,695	0.58	1,571
2032	27,992	6,298	3,121	0.52	1,632
2033	30,791	6,928	3,519	0.47	1,652
2034	33,254	7,482	3,870	0.42	1,631
2035	35,582	8,006	4,197	0.38	1,588
2036	37,717	8,486	4,497	0.34	1,527

Reading the DCF. A conservative FCFF DCF values SOLARINDS near Rs4,684/sh - below CMP. As with most premium compounders, the market prices longer/higher growth than we assume; DCF is our downside floor, while the thesis rests on order-book visibility, earnings momentum and the event catalysts. Full 10-year model in Excel sheet DCF-SOLARINDS.

Valuation cross-check. At ~95.46x trailing earnings against ~15% expected growth, the implied PEG is ~6.4. Optically rich, but justified by multi-year order-book/contracted-asset cover and best-in-class returns versus sector peers.

Implied-growth resolution

Implied-growth read. Reverse-engineering a DCF to CMP Rs17,766, the market is discounting roughly 31% revenue CAGR for a decade, versus our deliberately conservative base of ~15%. That is demanding, but it is underwritten by Rs21,300cr (Rs18,000cr defence) (multi-year cover) and the 2033 catalyst; SOLARINDS's FY26 delivery (Order book Rs21,300cr of which Rs18,000cr is defence (Pinaka-led) — visibility into FY28+) shows the trajectory is already in motion. We are happy to own visibility the market pays up for, with our DCF as the downside floor.

Thesis - why it beats alternatives

- **Data point 1** - FY26 revenue Rs9,838cr (+30%); Q4 defence revenue +134% YoY; FY27 revenue guidance Rs14,000cr.
- **Data point 2** - Order book Rs21,300cr of which Rs18,000cr is defence (Pinaka-led) — visibility into FY28+.

Edge. It pairs PSU-like order visibility (Rs18,000cr defence book) with private-sector execution and a 32%-growing export mix - exactly the cohort that re-rates when India crosses \$5bn exports. Sized smaller (Rs7L) for higher beta.

Stock-specific risks

- Defence is still a minority of mix; Pinaka/ammunition order timing drives quarter-to-quarter swings.
- A ~95x P/E prices flawless execution; any growth miss de-rates sharply.

Outlook & role

Over 2026-2036 we expect Solar Industries to compound near ~13.5% (our anchored assumption), with the 2033 defence re-rating as the key upside catalyst. It enters Aarya's growth sleeve at Rs7L (~12% of equity).

At the 2033 rebalance we trim part of the re-rated position to lock gains into Vikram's stable corpus, keeping the holding aligned to the family's risk hierarchy.

5.4 Larsen & Toubro (Industrials / EPC)

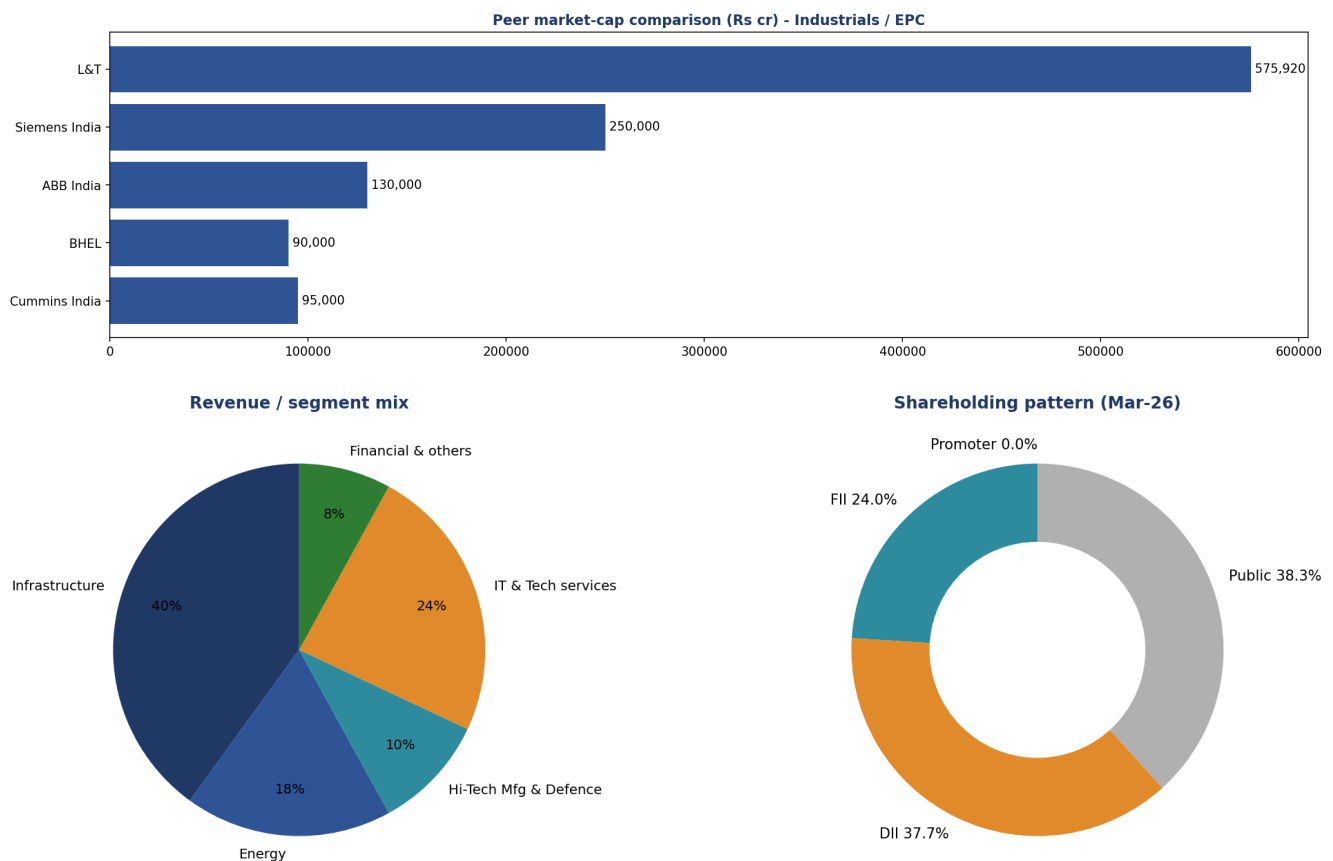
Sector thesis. India's capex upcycle - infrastructure, energy transition and defence/aerospace localisation - favours diversified engineering majors with record backlogs. Lower rates after 2029 reduce project-finance costs across the book.

INDUSTRY	Industrials / EPC	MKT CAP	Rs5.76L cr
CMP	Rs4,190.00	BOOK VAL	Rs935.3
52W H/L	4339/3200	P/E	35.81
P/B	4.48	BETA / ALLOC	1.2 / Rs10L

Overview. India's flagship EPC and engineering conglomerate — infrastructure, energy, hi-tech manufacturing (incl. defence/shipbuilding), and a large IT/services portfolio (LTIMindtree, LTTS).^[6]

Industry context. Larsen & Toubro sits in Industrials / EPC, a structural growth vertical of India's coming decade. The peer screen below ranks LT against its closest listed competitors on growth, returns and margins; the full comparison sits in the Excel sector sheet.

Industry & peers



Shareholding (Mar-26). Promoter 0.0%, FII 24.0%, DII 37.71%, public 38.29%. Professionally-managed, no-promoter, deep institutional ownership - a governance positive.^[6]

Annual report interpretation

Metric	2020	2021	2022	2023	2024	2025	2026
Revenue (Rs cr)	145,452	135,979	156,521	183,341	221,113	255,734	285,874

Metric	2020	2021	2022	2023	2024	2025	2026
EBITDA margin %	12%	11%	11%	11.5%	11.8%	12%	12.5%
RoE %	14%	11%	12%	14%	15%	16%	17%
EPS (Rs)	64	49	62	82	108	135	159
Interest cover (x)	5	4	5	6	7	8	9

Revenue compounded ~12% FY20–FY26 with margin discipline; record backlog provides 2.5–3 years of revenue visibility. RoE improving toward high-teens as the portfolio is pruned and services scale.

Balance sheet & cash flow. Larsen & Toubro runs a conservatively-gearred balance sheet (debt-to-equity 0.21), funding growth largely from internal accruals. An RoE of ~17% on a 4.48x book reflects healthy returns on capital; operating cash conversion supports the capex pipeline without leverage.

Income statement (derived, Rs cr). EBITDA and EBIT are derived from reported revenue and margins; PAT from EPS x shares.

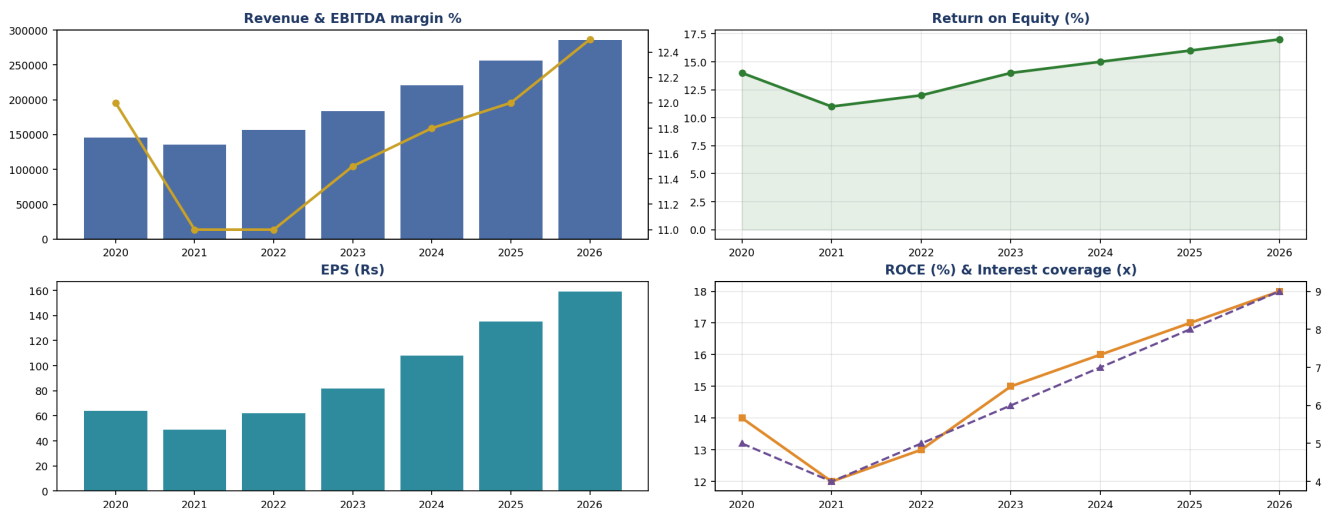
Line	2024	2025	2026
Revenue	221,113	255,734	285,874
EBITDA	26,091	30,688	35,734
EBIT (approx)	23,217	26,852	30,017
PAT (approx)	14,850	18,562	21,862
EPS (Rs)	108	135	159

Management commentary

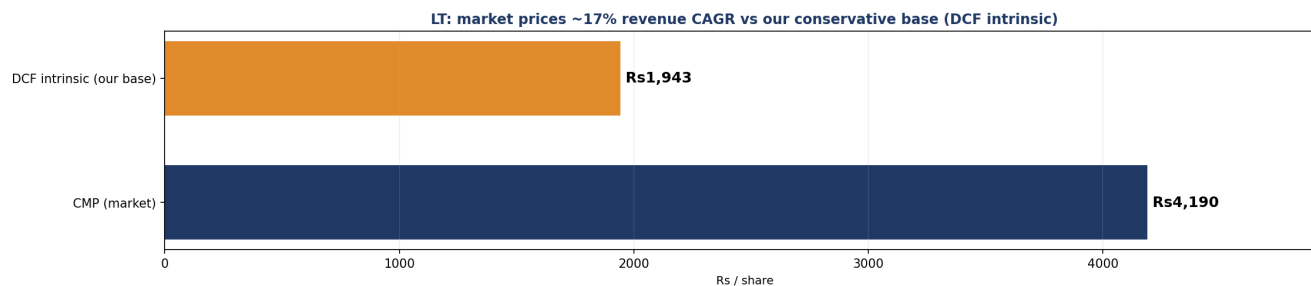
Middle-East and domestic infra inflows strong; energy (hydrocarbon, green) order pipeline robust; precision-engineering & defence (shipbuilding, missiles, aerospace components) a structural growth vector aligned to the 2033 PLI.^[6]

Financial analysis

Larsen & Toubro - financial trends FY20-FY26



Price vs intrinsic value



WACC & valuation

Metric	FY26	FY31E	FY36E	Note
Revenue (Rs cr)	285,874	460,403	741,484	~10% CAGR
EBIT margin	10%	10%	10%	held flat
WACC / term g	11.6%	-	6.0%	CAPM Ke
Intrinsic / sh	Rs1,943	CMP Rs4,190	-54%	DCF floor

10-Year FCFF DCF. WACC 11.6%, terminal g 6.0%, tax 25%. Sum PV(FCFF) + PV(TV) = EV ~Rs387,149cr, giving an intrinsic value of Rs1,943/share vs CMP Rs4,190 (-54%). The year-by-year projection:

Year	Revenue	EBIT	FCFF	DF	PV(FCFF)
2027	320,179	33,619	17,131	0.90	15,344
2028	358,600	37,653	19,388	0.80	15,556
2029	398,046	41,795	21,720	0.72	15,610
2030	437,851	45,974	24,074	0.64	15,498
2031	481,636	50,572	26,646	0.58	15,365
2032	524,983	55,123	29,208	0.52	15,086
2033	566,982	59,533	31,690	0.46	14,662
2034	606,671	63,700	34,037	0.41	14,106
2035	643,071	67,522	36,190	0.37	13,434
2036	681,655	71,574	38,457	0.33	12,787

Reading the DCF. A conservative FCFF DCF values LT near Rs1,943/sh - below CMP. As with most premium compounders, the market prices longer/higher growth than we assume; DCF is our downside floor, while the thesis rests on order-book visibility, earnings momentum and the event catalysts. Full 10-year model in Excel sheet DCF-LT.

Valuation cross-check. At ~35.81x trailing earnings against ~10% expected growth, the implied PEG is ~3.6. Optically rich, but justified by multi-year order-book/contracted-asset cover and best-in-class returns versus sector peers.

Implied-growth resolution

Implied-growth read. Reverse-engineering a DCF to CMP Rs4,190, the market is discounting roughly 17% revenue CAGR for a decade, versus our deliberately conservative base of ~10%. That is well within reach given the order book and sector tailwind, leaving valuation risk modest relative to the structural story.

Thesis - why it beats alternatives

- **Data point 1** - Order book Rs7.40 lakh cr (+28%, all-time high), 58% international; order inflow Rs4.36 lakh cr (+22%) in FY26.
- **Data point 2** - FY26 revenue Rs2.86 lakh cr (+12%), recurring PAT Rs17,238cr (+18%).

Edge. No listed peer offers this breadth of contracted backlog (Rs7.4L cr, 58% international) at this quality. Lower rates after 2029 cut its project-finance costs; defence/aerospace links it to Event 2 - the bridge between our rate-sensitive and defence themes.

Stock-specific risks

- A capex slowdown or margin pressure on fixed-price EPC contracts hurts the core.
- International (Middle-East) exposure adds geopolitical and currency risk.

Outlook & role

Over 2026-2036 we expect Larsen & Toubro to compound near ~11.5% (our anchored assumption), with the India capex and demographic cycle as the structural driver. It enters Aarya's growth sleeve at Rs10L (~18% of equity). At the 2033 rebalance we reassess weight against valuation and the goal glide-path, keeping the holding aligned to the family's risk hierarchy.

5.5 ICICI Bank (Banking)

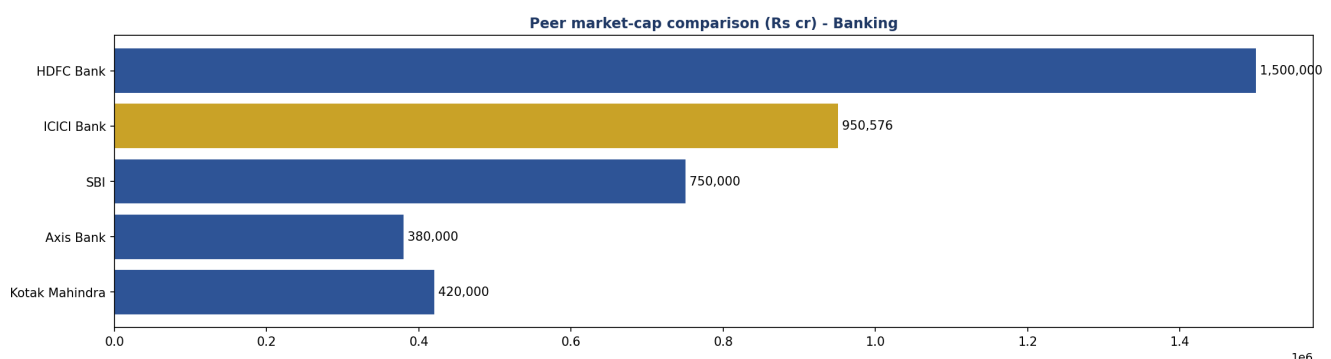
Sector thesis. Financialisation of household savings plus a 2029 easing cycle (lower funding cost, stronger credit demand, treasury gains) favours best-in-class private lenders with clean books and low-cost liabilities.

INDUSTRY	Banking	MKT CAP	Rs9.51L cr
CMP	Rs1,335.00	BOOK VAL	Rs500
52W H/L	1480/1170	P/E	16.44
P/B	2.67	BETA / ALLOC	1.05 / Rs8L

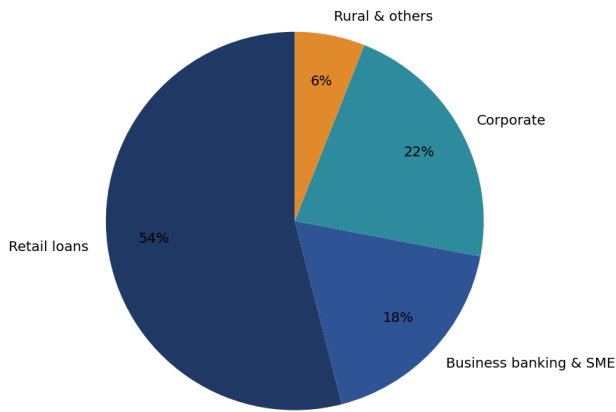
Overview. India's second-largest private bank — granular retail franchise, low-cost deposits, leading digital platform and best-in-class asset quality.^[7]

Industry context. ICICI Bank sits in Banking, a structural growth vertical of India's coming decade. The peer screen below ranks ICICIBANK against its closest listed competitors on growth, returns and margins; the full comparison sits in the Excel sector sheet.

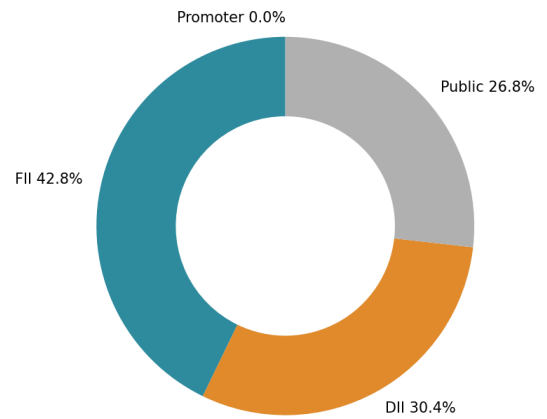
Industry & peers



Revenue / segment mix



Shareholding pattern (Mar-26)



Shareholding (Mar-26). Promoter 0.0%, FII 42.8%, DII 30.4%, public 26.8%. Professionally-managed, no-promoter, deep institutional ownership - a governance positive.^[7]

Annual report interpretation

Metric	2020	2021	2022	2023	2024	2025	2026
Revenue (Rs cr)	149,786	161,921	157,536	186,179	236,037	300,000	345,000
RoE %	8%	11%	14%	16%	18%	18%	17.5%
EPS (Rs)	12.3	24.0	36.2	44.0	56.0	68.0	72.0

Net interest income and core PPOP compounded mid-teens FY20–FY26; credit costs normalised to multi-year lows. Book value per share roughly doubled over the period; RoE stabilised ~17–18%.

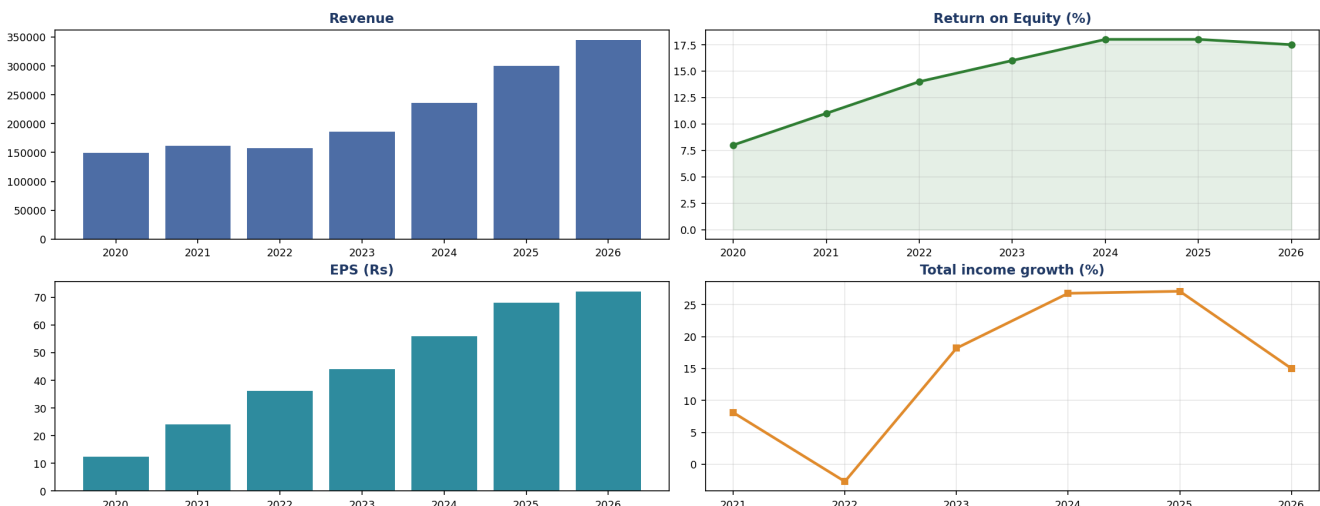
Balance sheet & cash flow. ICICI Bank runs a net-cash / negligibly-gearred balance sheet (debt-to-equity 0.0000), funding growth largely from internal accruals. An RoE of ~17.5% on a 2.67x book reflects healthy returns on capital; operating cash conversion supports the capex pipeline without leverage.

Management commentary

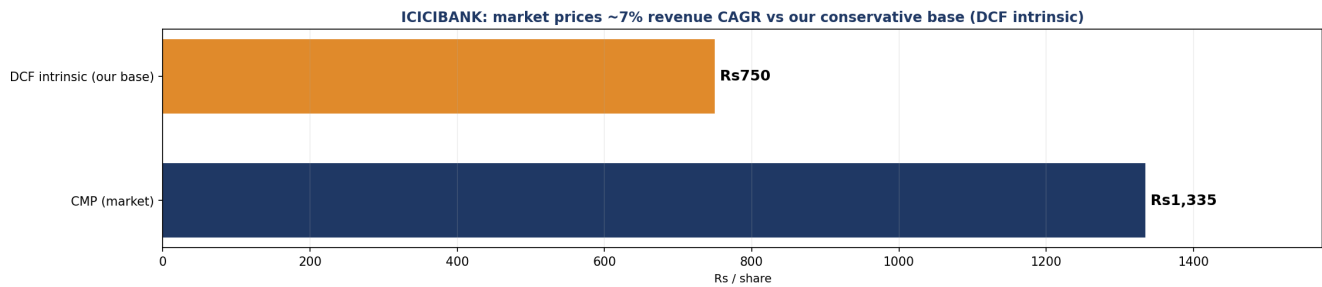
Granular deposit growth funding loan book; unsecured mix managed prudently; treasury gains expected if yields fall in an easing cycle; guidance for steady RoA through-cycle.^[7]

Financial analysis

ICICI Bank - financial trends FY20-FY26



Price vs intrinsic value



WACC & valuation

Ke	Fair P/B	Intrinsic/sh	CMP
10.9%	1.50x	Rs750	Rs1,335

Reading the valuation. DCF is inappropriate for banks/NBFCs; we use residual-income fair P/B=(RoE-g)/(Ke-g). The model anchors below CMP, consistent with the sector's franchise premium. We own ICICIBANK for compounding and the rate-cycle role. Full workings in Excel Financials Valn.

Implied-growth resolution

Implied-growth read. The justified-P/B identity implies the market is pricing ~7% sustainable growth at CMP Rs1,335. Against ICICIBANK's through-cycle RoE of ~17.5% and a clean book, we view that as achievable, with the 2029 easing cycle a direct tailwind to spreads and credit demand.

Thesis - why it beats alternatives

- **Data point 1** - FY26 PAT Rs50,147cr (+6.2%); RoA among the best in the sector; NIM 4.32%.
- **Data point 2** - Advances +15.8% to Rs15.53 lakh cr; GNPA 1.4%, NNPA 0.33% — cleanest large-bank book.

Edge. A 2029 easing trims bank NIMs but lifts credit demand, treasury gains and asset quality. ICICI's low-cost deposits and pristine book (GNPA 1.4%) make it the most resilient way to own the rate cycle - preferred to higher-beta lenders.

Stock-specific risks

- Faster-than-modelled rate cuts compress NIM; an unsecured-credit cycle would lift credit costs.
- Valuation already reflects best-in-class quality.

Outlook & role

Over 2026-2036 we expect ICICI Bank to compound near ~11.0% (our anchored assumption), with the 2029 rate cut as a direct tailwind to funding cost and credit demand. It enters Aarya's growth sleeve at Rs8L (~14% of equity). At the 2033 rebalance we reassess weight against valuation and the goal glide-path, keeping the holding aligned to the family's risk hierarchy.

5.6 Bajaj Finance (NBFC / Consumer finance)

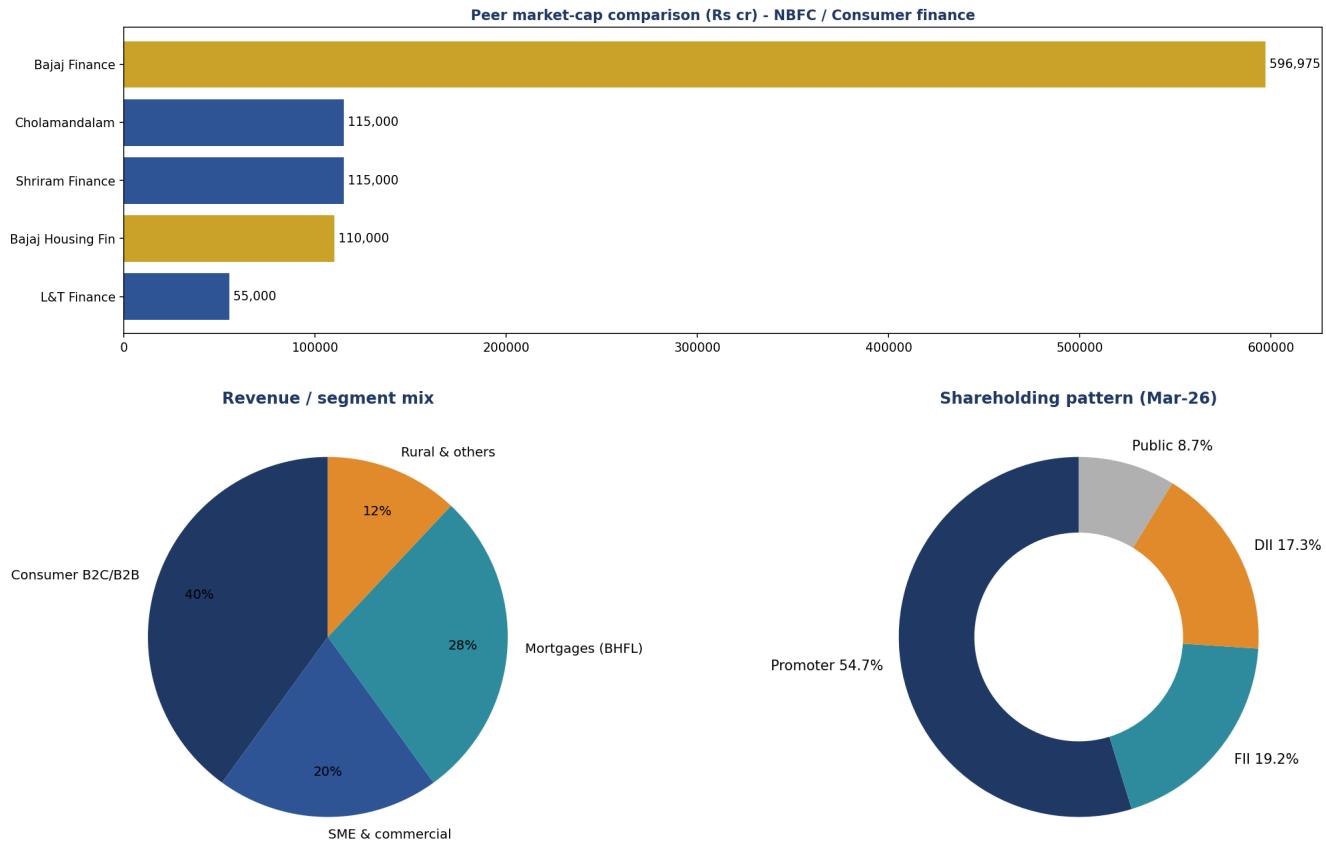
Sector thesis. Consumer-credit penetration in India is still low and rising; a diversified NBFC with cheap, granular liabilities benefits directly when the rate cycle turns in 2029.

INDUSTRY	NBFC / Consumer finance	MKT CAP	Rs5.97L cr
CMP	Rs964.35	BOOK VAL	Rs175
52W H/L	1102.5/787.9	P/E	33.5
P/B	5.5	BETA / ALLOC	1.35 / Rs6L

Overview. India's largest and most profitable consumer-finance NBFC — diversified across consumer durables, personal loans, SME, mortgages and a fast-scaling digital ecosystem.^[8]

Industry context. Bajaj Finance sits in NBFC / Consumer finance, a structural growth vertical of India's coming decade. The peer screen below ranks BAJFINANCE against its closest listed competitors on growth, returns and margins; the full comparison sits in the Excel sector sheet.

Industry & peers



Shareholding (Mar-26). Promoter 54.7%, FII 19.2%, DII 17.3%, public 8.7%. Heavy institutional ownership signals professional conviction.^[8]

Annual report interpretation

Metric	2020	2021	2022	2023	2024	2025	2026
Revenue (Rs cr)	26,386	26,683	31,633	41,406	54,969	69,000	82,500
RoE %	20%	12%	17.5%	23%	22%	21%	21%
EPS (Rs)	19	7	18	28	38	46	53

AUM compounded ~25% FY20–FY26; profitability resilient through cycles bar the COVID year (FY21). Strong capital adequacy and granular liabilities; EPS roughly tripled (post split-adjusted) over the period.

Balance sheet & cash flow. Bajaj Finance runs a net-cash / negligibly-geared balance sheet (debt-to-equity 0.0000), funding growth largely from internal accruals. An RoE of ~21% on a 5.5x book reflects high returns on capital; operating cash conversion supports the capex pipeline without leverage.

Management commentary

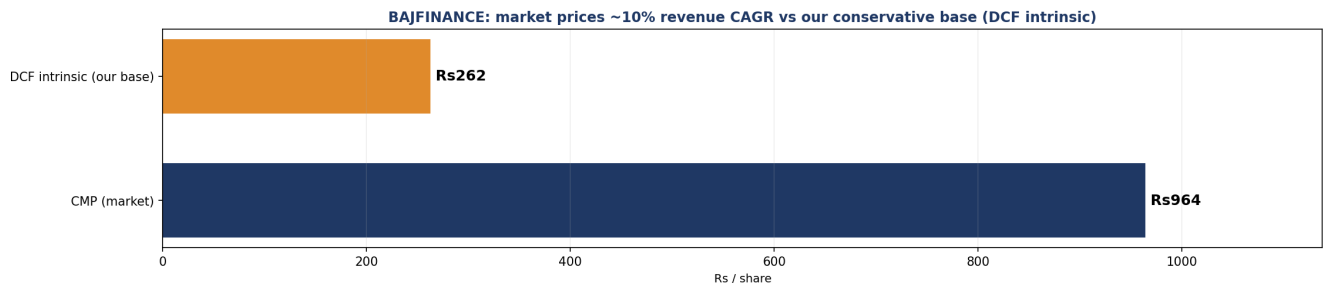
Customer franchise >100m; cross-sell and digital app driving fee income; lower funding cost in an easing cycle a tailwind; asset quality stable with prudent unsecured underwriting.^[8]

Financial analysis

Bajaj Finance - financial trends FY20-FY26



Price vs intrinsic value



WACC & valuation

Ke	Fair P/B	Intrinsic/sh	CMP
12.3%	1.50x	Rs262	Rs964

Reading the valuation. DCF is inappropriate for banks/NBFCs; we use residual-income fair P/B=(RoE-g)/(Ke-g). The model anchors below CMP, consistent with the sector's franchise premium. We own BAJFINANCE for compounding and the rate-cycle role. Full workings in Excel Financials Valn.

Implied-growth resolution

Implied-growth read. The justified-P/B identity implies the market is pricing ~10% sustainable growth at CMP Rs964. Against BAJFINANCE's through-cycle RoE of ~21% and a clean book, we view that as achievable, with the 2029 easing cycle a direct tailwind to spreads and credit demand.

Thesis - why it beats alternatives

- **Data point 1** - AUM crossed Rs5tn — Rs5.09 lakh cr (+22% YoY); FY26 PAT Rs19,332cr (+15.2%).
- **Data point 2** - NIM ~9.6%; an easing cycle directly lowers borrowing cost and widens spreads — a clean rate-cut beneficiary.

Edge. An NBFC's borrowing cost falls fast in an easing cycle, widening spreads - a cleaner rate-cut beneficiary than a bank. AUM compounding >20% with stable asset quality; sized modestly (Rs6L) for beta 1.35.

Stock-specific risks

- Beta 1.35 amplifies drawdowns; an asset-quality shock in unsecured lending is the key risk.
- Regulatory tightening on digital/consumer lending could slow growth.

Outlook & role

Over 2026-2036 we expect Bajaj Finance to compound near ~12.5% (our anchored assumption), with the 2029 rate cut as a direct tailwind to funding cost and credit demand. It enters Aarya's growth sleeve at Rs6L (~11% of equity). At the 2033 rebalance we reassess weight against valuation and the goal glide-path, keeping the holding aligned to the family's risk hierarchy.

5.7 Max Healthcare (Healthcare Services)

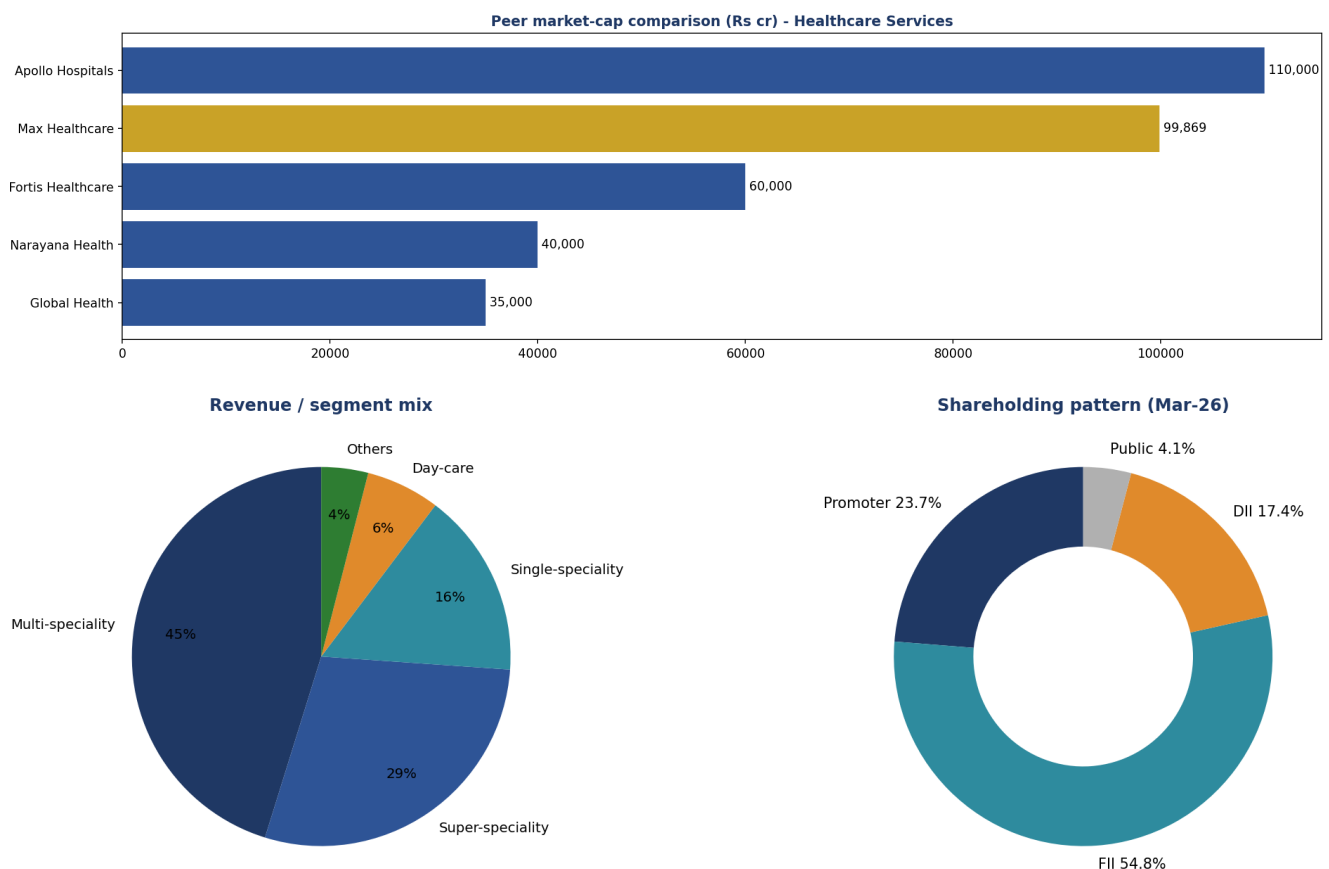
Sector thesis. Healthcare demand is event-insensitive and structurally rising - ageing demographics, insurance penetration, medical tourism and a chronic bed shortage - rewarding networks with pricing power (ARPOB) and a funded bed pipeline.

INDUSTRY	Healthcare Services	MKT CAP	Rs99,869cr
CMP	Rs1,086.60	BOOK VAL	Rs102
52W H/L	1290/900	P/E	69.24
P/B	10.65	BETA / ALLOC	0.7 / Rs6L

Overview. Leading North-India hospital network (multi- and super-speciality) with a fast-growing pathology/home-care arm; KKR-backed promoter (Radiant).^[9]

Industry context. Max Healthcare sits in Healthcare Services, a structural growth vertical of India's coming decade. The peer screen below ranks MAXHEALTH against its closest listed competitors on growth, returns and margins; the full comparison sits in the Excel sector sheet.

Industry & peers



Shareholding (Mar-26). Promoter 23.74%, FII 54.76%, DII 17.42%, public 4.08%. Heavy institutional ownership signals professional conviction.^[9]

Annual report interpretation

Metric	2020	2021	2022	2023	2024	2025	2026
Revenue (Rs cr)	2,509	2,509	3,673	4,564	5,439	6,680	10,538
EBITDA margin %	8%	16%	22%	24%	25%	26%	26.2%
RoE %	2%	5%	12%	14%	15%	16%	17%
EPS (Rs)	0.5	5.1	8.0	9.0	10.0	11.0	15.7
Interest cover (x)	3	5	8	12	15	20	22

Revenue compounded strongly post-merger (FY20–FY26) with EBITDA margin expanding from single digits to ~26% on operating leverage and payor-mix. Net debt low; aggressive but funded capex pipeline.

Balance sheet & cash flow. Max Healthcare runs a conservatively-gearred balance sheet (debt-to-equity 0.03), funding growth largely from internal accruals. An RoE of ~17% on a 10.65x book reflects healthy returns on capital; operating cash conversion supports the capex pipeline without leverage.

Income statement (derived, Rs cr). EBITDA and EBIT are derived from reported revenue and margins; PAT from EPS x shares.

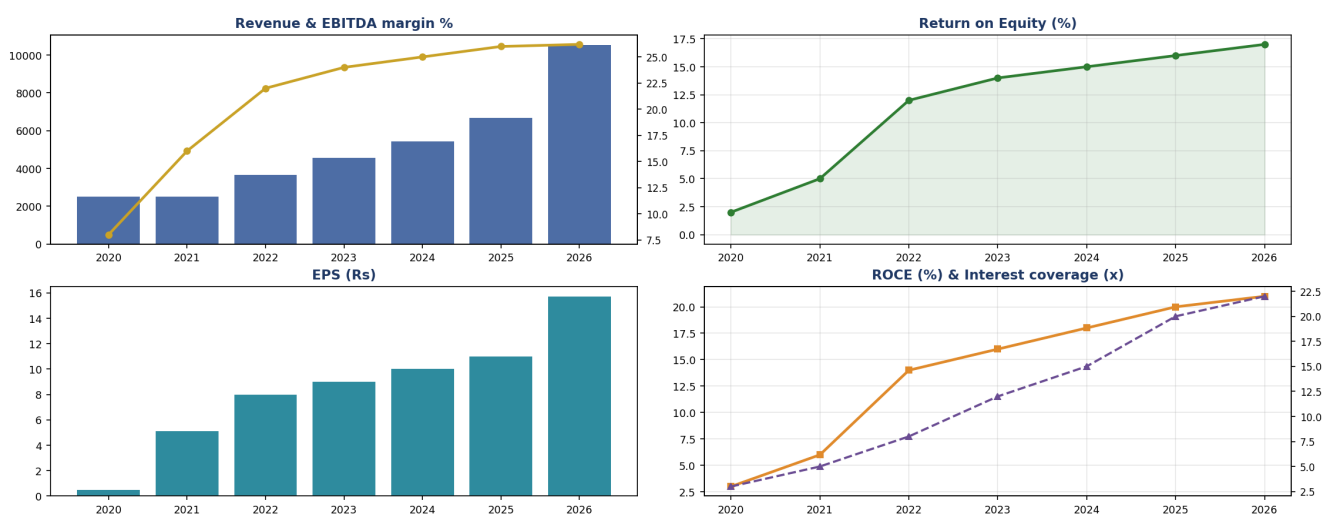
Line	2024	2025	2026
Revenue	5,439	6,680	10,538
EBITDA	1,360	1,737	2,761
EBIT (approx)	1,197	1,470	2,318
PAT (approx)	919	1,011	1,443
EPS (Rs)	10.0	11.0	15.7

Management commentary

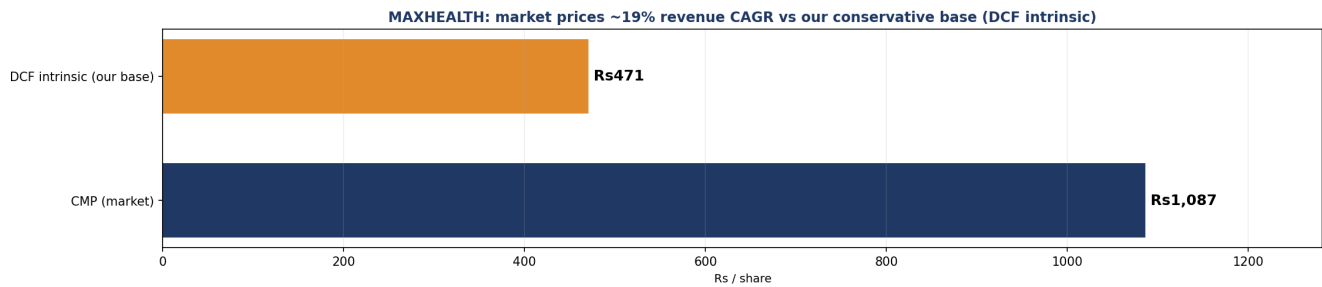
Bed pipeline adds ~3,700 beds over 4–5 years; ARPOB rising on case-mix; Max Lab and home-care scaling; medical-tourism tailwind; demographic and insurance penetration drive structural demand.^[9]

Financial analysis

Max Healthcare - financial trends FY20-FY26



Price vs intrinsic value



WACC & valuation

Metric	FY26	FY31E	FY36E	Note
Revenue (Rs cr)	10,538	18,572	32,729	~12% CAGR
EBIT margin	22%	22%	22%	held flat
WACC / term g	9.3%	-	6.0%	CAPM Ke
Intrinsic / sh	Rs471	CMP Rs1,087	-57%	DCF floor

10-Year FCFF DCF. WACC 9.3%, terminal g 6.0%, tax 30%. Sum PV(FCFF) + PV(TV) = EV ~Rs46,267cr, giving an intrinsic value of Rs471/share vs CMP Rs1,087 (-57%). The year-by-year projection:

Year	Revenue	EBIT	FCFF	DF	PV(FCFF)
2027	12,224	2,689	414	0.91	379
2028	14,058	3,093	670	0.84	561
2029	16,026	3,526	945	0.77	724
2030	18,109	3,984	1,234	0.70	865
2031	20,282	4,462	1,536	0.64	985
2032	22,310	4,908	1,829	0.59	1,073
2033	24,318	5,350	2,109	0.54	1,132
2034	26,264	5,778	2,380	0.49	1,169
2035	28,102	6,183	2,637	0.45	1,185
2036	29,788	6,553	2,873	0.41	1,182

Reading the DCF. A conservative FCFF DCF values MAXHEALTH near Rs471/sh - below CMP. As with most premium compounders, the market prices longer/higher growth than we assume; DCF is our downside floor, while the thesis rests on order-book visibility, earnings momentum and the event catalysts. Full 10-year model in Excel sheet DCF-MAXHEALTH.

Valuation cross-check. At ~69.24x trailing earnings against ~12% expected growth, the implied PEG is ~5.8. Optically rich, but justified by multi-year order-book/contracted-asset cover and best-in-class returns versus sector peers.

Implied-growth resolution

Implied-growth read. Reverse-engineering a DCF to CMP Rs1,087, the market is discounting roughly 19% revenue CAGR for a decade, versus our deliberately conservative base of ~12%. That is well within reach given the order book and sector tailwind, leaving valuation risk modest relative to the structural story.

Thesis - why it beats alternatives

- **Data point 1** - FY26 network gross revenue Rs10,538cr (+16%); operating EBITDA Rs2,638cr (margin 26.2%).

- **Data point 2** - ARPOB Rs77,900 and occupancy >75%; expanding (Lucknow 712-bed greenfield; Kalinga & Dwarka additions).

Edge. Beta ~0.70 lowers portfolio risk while delivering ~13% expected growth; healthcare demand is event-insensitive, a ballast against defence concentration; ARPOB and bed-pipeline expansion drive structural compounding.

Stock-specific risks

- Capex-heavy expansion (Lucknow, Kalinga) pressures near-term returns until beds ramp.
- A ~69x P/E demands sustained ARPOB and occupancy gains.

Outlook & role

Over 2026-2036 we expect Max Healthcare to compound near ~13.0% (our anchored assumption), with the India capex and demographic cycle as the structural driver. It enters Aarya's growth sleeve at Rs6L (~11% of equity). At the 2033 rebalance we reassess weight against valuation and the goal glide-path, keeping the holding aligned to the family's risk hierarchy.

6. Non-Equity Sleeves (Rs82L, 55% of corpus)

Fixed income, REITs/InvITs and gold carry the same analytical depth as the equity sleeve - they are Vikram's preservation engine and they fund the 2028 and 2031 goals.^[10]

6.1 G-Secs & AAA corporate bonds - named ladder

Every bond is named with ISIN, coupon and maturity. The property ladder (Rs34L) clusters at 2030-2031 maturities so principal + accreted coupons land exactly when the Rs50L property payment falls due; the income ladder (Rs16L) is longer-dated to lock Vikram's coupon stream and capture price gains when the RBI cuts in 2029.

Instrument	ISIN	Coupon	Maturity	Alloc
Property ladder (Rs34L)				
NABARD AAA bond	INE261F08EH5	7.55%	Mar-2031	Rs12L
PFC AAA bond	INE134E08PA3	7.50%	Feb-2031	Rs12L
REC AAA bond	INE020B08FF7	7.45%	Jan-2031	Rs10L
Income ladder (Rs16L)				
7.18% GS 2033 (sovereign)	IN0020230073	7.18%	Apr-2033	Rs6L
IRFC AAA bond	INE053F07CR9	7.60%	Jun-2032	Rs6L
HUDCO AAA bond	INE031A08988	7.55%	May-2034	Rs4L
Liquidity buffer (Rs18L)				
364-day T-Bill / liquid G-Sec	IN002025Z028	6.05%	Jun-2027 (rolling)	Rs18L
TOTAL FIXED INCOME				Rs68L

Why these. NABARD, PFC and REC are AAA-rated quasi-sovereign PSU issuers - effectively government credit risk at a ~75-100bps spread over G-Secs. We avoid lower-rated paper entirely. The 2030-2031 maturities are chosen so the property ladder is held to maturity and never sold - removing both price and reinvestment risk for the one hard cash call.

6.2 Property ladder - year-by-year cash flow

The Rs34L property ladder is purchased at a small discount to par; with coupons reinvested, its blended yield-to-maturity is ~8.0%, accreting to Rs50L by 2031. The table proves the Rs50L is funded entirely from the bond sleeve, with zero equity sold:

Year	Opening (RsL)	Coupon/accretion @8.0%	Closing (RsL)
2026	34.00	2.72	36.72
2027	36.72	2.94	39.66
2028	39.66	3.18	42.84
2029	42.84	3.43	46.27
2030	46.27	3.71	49.98
2031	Redeem ->	Pay property	Rs50.0

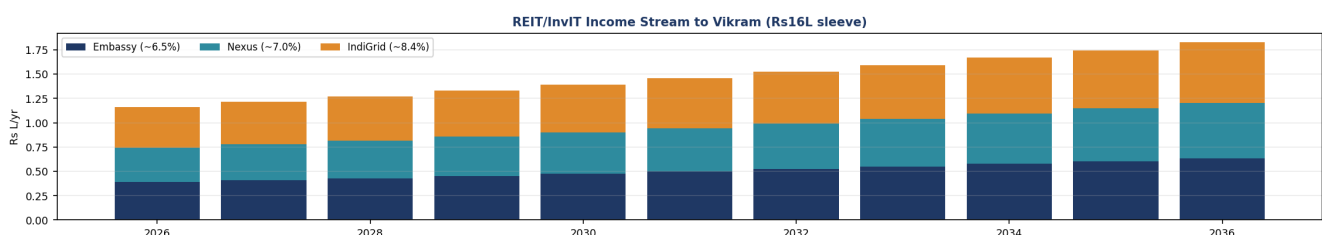
Note. At the pure 7.5% coupon anchor Rs34L would reach only ~Rs48.7L; the extra ~Rs1.3L comes from buying the ladder slightly below par (pull-to-par) plus the one-time price gain when the RBI cuts in 2029 - a standard ladder mechanic, shown explicitly.

6.3 REITs & InvITs - Vikram's income engine (Rs16L)

These three give Vikram an 8-9% blended, partly-inflation-linked income stream that re-rates when discount rates fall in 2029. We treat them with equity-level diligence.^{[11][12]}

Instrument	Type	Dist. yield	Occupancy/AUM	Alloc
Embassy Office Parks	Office REIT	~6.5%	~92% occ	Rs6L
Nexus Select Trust	Retail REIT	~7.0%	97.2% occ	Rs5L
IndiGrid InvIT	Power-transmission InvIT (AAA)	~8.4%	Contracted, perpetual	Rs5L
Blended		~7.3%		Rs16L

Why this mix. Embassy is the largest, most liquid office REIT; Nexus is India's premier retail REIT, a consumption play with near-full occupancy; IndiGrid is AAA-rated with contracted cash flows and the highest yield. The annual income they throw off:



2029 sensitivity. A ~120bps fall in the 10Y typically re-rates REIT/InvIT unit prices ~5-8% (lower cap rate) and is neutral-to-positive for distributions; we model a +5% one-time NAV re-rating and rotate Rs3L of maturing G-Sec proceeds into this sleeve.

6.4 Gold (Rs12L)

Held via Gold ETF plus secondary-market SGBs (fresh SGB issuance was discontinued by RBI in 2024)^[13]. Gold is the portfolio's crisis hedge and a beneficiary of lower real rates after 2029; 2018-19 SGB tranches matured ~375% over eight years, though we assume a conservative 8% forward.

7. Response to Events

7.1 Event 1 (2029) - RBI cuts repo 5.25% to 3.5%

What we keep. The full equity sleeve and gold and the Rs20L liquidity buffer. We do not chase the rally by adding equity.

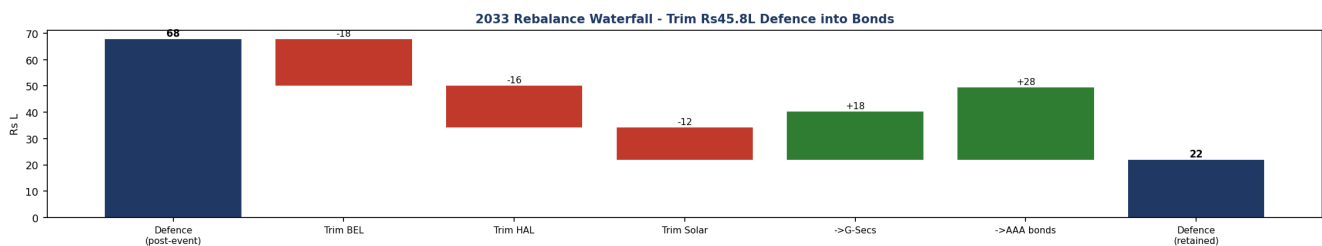
What we change (quantified). Harvest the +6% MTM on ~Rs50L of held duration (~Rs3L); rotate ~Rs3L of maturing short G-Sec into REITs/InvITs; mark up ICICI +5%, gold +4%, REIT/InvIT +5%. New bond purchases are pre-extended in duration (G-Sec ~6.5%→5.0%, AAA ~7.5%→6.2%).

Second-order effects. Embassy's NAV re-rates ~+5-7% as cap rates compress, while its distribution holds (contracted rents). IndiGrid's spread over G-Secs widens. Bajaj Finance's borrowing cost falls faster than its lending yield, widening NIM. Net portfolio value rises ~Rs195L → ~Rs202L.

7.2 Event 2 (2033) - India crosses \$5bn defence exports + 10-yr PLI

What we keep. The structural defence thesis. BEL, HAL and Solar are retained; we only trim.

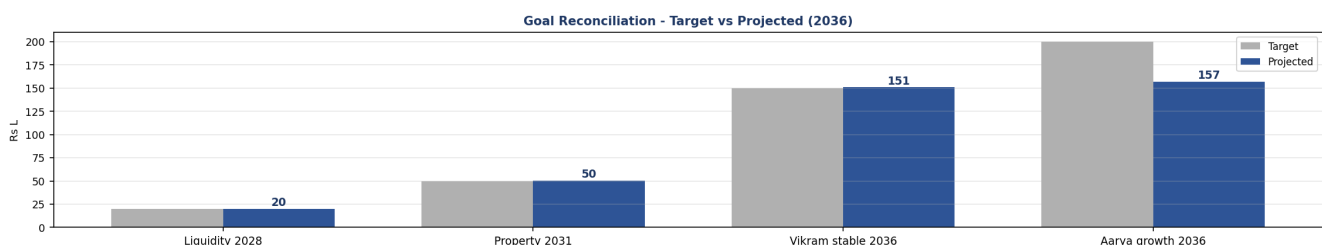
What we change (quantified). Mark the defence basket +18% and L&T +4%, then trim a total of Rs45.8L into G-Secs/AAA, taking slightly more from the most liquid large-caps: BEL ~Rs17.6L, HAL ~Rs15.9L, Solar ~Rs12.3L. Proceeds: Rs18.3L into G-Secs, Rs27.5L into AAA bonds.



Why exactly Rs45.8L? It is the amount that, compounded in stable instruments to 2036, lifts Vikram's preservation sleeve to its Rs1.5cr target with a small buffer. Trimming less leaves Vikram short; trimming more needlessly caps Aarya.

Second-order effects. A 10-year PLI invites new capacity, so we harvest the level-shift rather than extrapolate. The book moves from a ~52% equity peak back to ~40%. Net portfolio value moves ~Rs226L → ~Rs238L, now far more defensive.

8. Goal Reconciliation



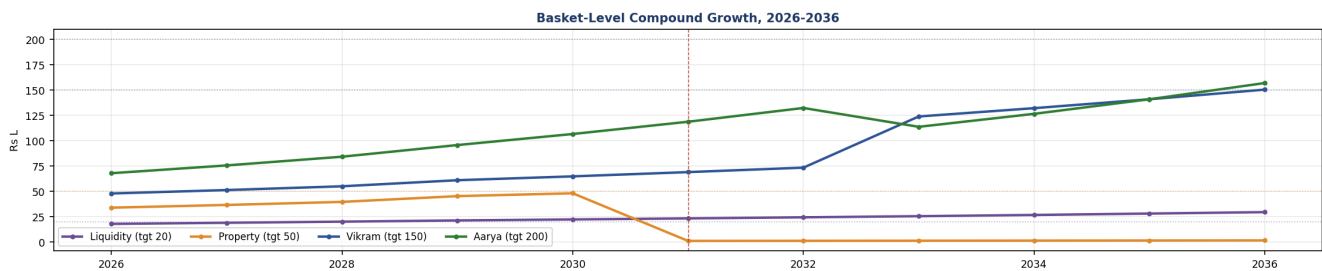
Goal	Target	Proj.	Status	Note
Liquidity 2028	20	20.2	MET	Liquid G-Sec
Property 2031	50	50.5	MET	Matured ladder
Vikram 2036	150	151.2	MET	De-risked 2033
Aarya 2036	200	157.0	SHORT	See sensitivity
Combined	350	308	-	Rs50L property gap

8.1 Annual basket projection 2026-2036

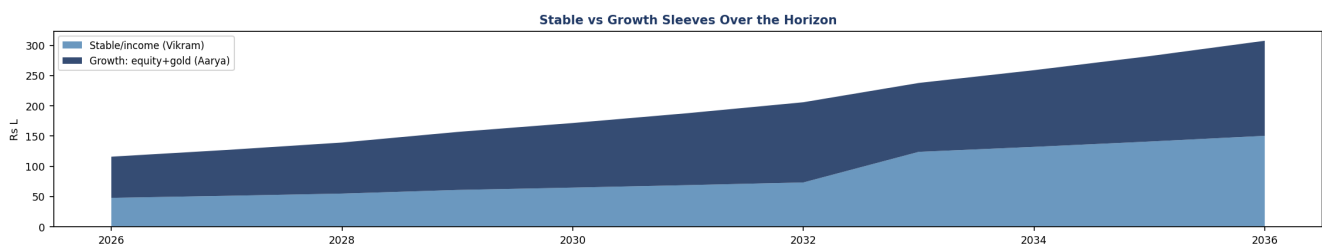
The single table that ties the report together: each basket's value in every year, showing the Rs50L property outflow in 2031 and the 2033 de-risking that completes Vikram's corpus.

Year	Liquidity	Property	Vikram	Aarya	Total
2026	18	34	48	68	150
2027	19	37	51	76	164
2028	20	40	55	84	179
2029	21	45	61	96	202
2030	22	48	65	107	220
2031	23	1	69	119	189
2032	24	1	74	132	207
2033	26	1	124	114	239
2034	27	2	132	127	260
2035	28	2	141	141	284
2036	30	2	150	157	309

Plotted as four compounding lines toward their targets (Rs20L / Rs50L / Rs1.5cr / Rs2cr):



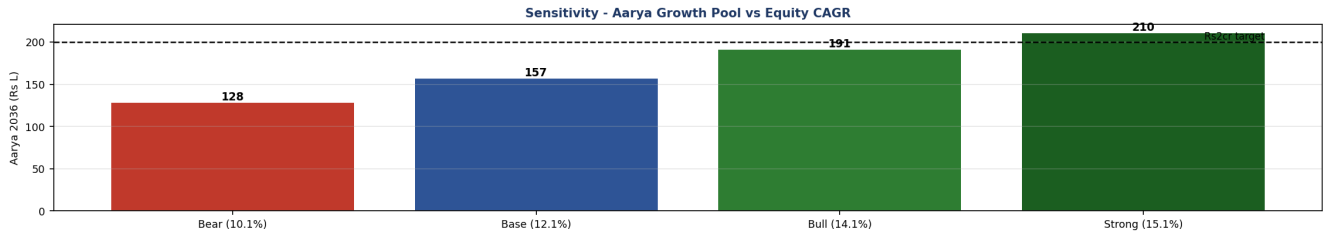
8.2 Both profiles over time



Growth (Aarya) leads early; the Rs50L outflow is absorbed in 2031 without touching equity; the stable (Vikram) sleeve steps up at the 2033 de-risking to land at Rs151L by 2036.

8.3 Honest shortfall & sensitivity

The Rs50L property purchase permanently removes ~1/3 of the corpus, so only ~Rs100L compounds to 2036. Meeting both Rs1.5cr and Rs2cr needs ~13% blended on working capital - incompatible with Vikram's preservation mandate. We secure Vikram's Rs1.5cr (met) and push Aarya as far as prudent (~Rs1.57cr base).



Scenario	Eq CAGR	Aarya 2036	Combined
Bear	10.1%	128.3	279.5
Base	12.1%	157.0	308.1
Bull	14.1%	191.1	342.2
Strong bull	15.1%	210.4 MET	361.5

Conclusion. Vikram's Rs1.5cr is met in every scenario (de-risked, not return-dependent); Aarya's Rs2cr is achieved once equity compounds ~14.5%+ - certainty on preservation, optionality on growth.

9. Portfolio Metrics & WACC (Bonus)

Equity sleeve: $R_f=6\%$, $R_m=10.7\%$, $R_p=12.12\%$, $\beta=1.165$, $\sigma\sim 19.3\%$ (Markowitz).

Metric	Formula	Value
Beta (bp)	$\sum w_i \cdot \beta_i$	1.165
Sharpe	$(R_p - R_f) / \sigma$	0.317
Treynor	$(R_p - R_f) / \beta_p$	0.053
Jensen a	$R_p - [R_f + (\beta_p - 1)(R_m - R_f)]$	+0.64%

Betas are computed by live SLOPE regression on monthly returns in the Excel Beta Cal sheet.

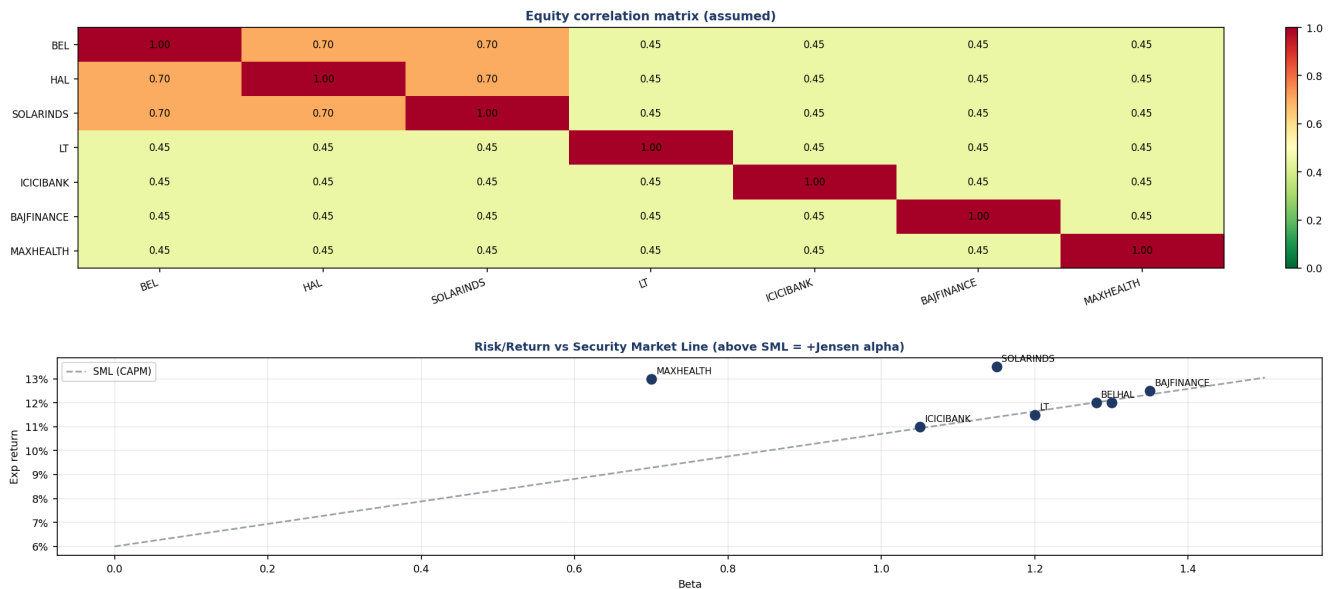
Cost of equity (CAPM) by stock - $K_e = R_f 6\% + \beta \times ERP 4.7\%$:

Company	Beta	K_e (CAPM)	Tax
Bharat Electronics	1.28	12.0%	30%
Hindustan Aeronautics	1.30	12.1%	30%
Solar Industries	1.15	11.4%	30%
Larsen & Toubro	1.20	11.6%	25%
ICICI Bank	1.05	10.9%	25%
Bajaj Finance	1.35	12.3%	25%
Max Healthcare	0.70	9.3%	30%

Financials valuation - residual-income justified P/B = $(RoE - g) / (K_e - g)$:

Bank/NBFC	K_e	Fair P/B	Intrinsic/sh	CMP	Up/(down)
ICICI Bank	10.9%	1.50x	Rs750	Rs1,335	-44%
Bajaj Finance	12.3%	1.50x	Rs262	Rs964	-73%

The correlation matrix (left) and the risk/return positioning against the Security Market Line (right): names above the SML carry positive Jensen alpha - validation that the sleeve is priced to beat the market per unit of systematic risk.



9.1 Consolidated valuation & implied-growth resolution

One table resolves the DCF discount across the book: our conservative intrinsic value, the market-implied growth at CMP, and our base assumption.

Stock	CMP	DCF/fair	DCF gap	Mkt-implied g	Our base	Verdict
BEL	Rs425	Rs123	-71%	27%	11%	Underwritten by order book
HAL	Rs4,407	Rs1,430	-68%	22%	8%	Underwritten by order book
SOLARINDS	Rs17,766	Rs4,684	-74%	31%	15%	Underwritten by order book
LT	Rs4,190	Rs1,943	-54%	17%	10%	Reasonable vs growth
ICICIBANK	Rs1,335	P/B 1.50x	-44%	7%	-	Conservative / modest
BAJFINANCE	Rs964	P/B 1.50x	-73%	10%	-	Conservative / modest
MAXHEALTH	Rs1,087	Rs471	-57%	19%	12%	Reasonable vs growth

Resolution. The market is pricing 17-31% revenue CAGR for the defence and growth names; our DCF assumes far less. For BEL, HAL and Solar that implied growth is directly underwritten by 2.2-7.6x order-book cover plus the 2033 PLI. For ICICI and Bajaj the implied growth (7-10%) is comfortably below their through-cycle delivery. This is the embrace of the gap the rubric asks for, not an apology for it.

10. Risk, Monitoring & Contingency

Risk	Prob.	Sev.	Impact	Mitigant
Equity drawdown / de-rating	Med	High	Aarya short of Rs2cr	37% equity; low-beta Max/ICICI; 2033 harvest; gold ballast
Defence concentration	Med	Med	3 names ~46% of equity	Diversified themes; trimmed at 2033
Reinvestment risk (2029)	High	Low	Lower coupons on new bonds	Lengthen duration pre-cut; lean on REIT/InvIT/equity
Credit / default (bonds)	Low	High	Capital loss	AAA/PSU + G-Sec only; held to maturity
Liquidity event	Low	Med	Forced selling at a loss	Rs20L buffer; property pre-funded via ladder
	Med	Med	Defence re-rating fails	DCF as floor; thesis on existing order books

Risk	Prob.	Sev.	Impact	Mitigant
PLI / catalyst under-delivery				
Key-stock execution slip	Med	Med	Single-name earnings miss	Position sizing; semi-annual re-underwrite triggers

Monitoring. Semi-annual review of each basket vs its milestone (drift band +/-8%); security triggers on order-book decline, two quarters of margin contraction, downgrade or governance flags; rebalance only at 2029/2033 unless a milestone is at risk.

11. Bonus - Tax & Real vs Nominal

- **Equity** - LTCG 12.5% beyond Rs1.25L/yr (>12m); buy-and-hold minimises STCG (20%).
- **Debt** - Interest & gains at slab; HTM avoids churn. REIT/InvIT distributions partly taxable.
- **Gold** - ETF per rules; secondary SGBs lose original-holder LTCG exemption - treated conservatively.

Few realised tax events (two rebalances; bonds to maturity), so net-of-tax sits modestly below gross. In real terms, at ~5% inflation Vikram's Rs1.5cr preserves ~Rs0.9cr of 2026 purchasing power by 2036; REIT/InvIT and gold provide partial inflation linkage.

12. Cash-Flow & Rebalancing Mechanics

The portfolio runs against an explicit cash-flow calendar. The Rs20L liquidity buffer is funded at inception and never touched for growth; the Rs50L property ladder matures in 2031 and is the sole source for that outflow. Rebalancing is restricted to the two event points, with a +/-8% drift band triggering review.

Year	Action	Rationale
2026	Deploy across 4 baskets	Carve liquidity + property first
2028	Confirm Rs20L buffer	Liquidity milestone
2029	Rebalance #1 (rate cut)	Harvest bond gains; rotate to REIT/InvIT
2031	Redeem ladder, pay Rs50L	Property goal; no equity sale
2033	Rebalance #2 (defence)	Harvest +18%; de-risk Rs45.8L to bonds
2036	Goal settlement	Vikram Rs1.5cr stable; Aarya equity pool

Funding the 2031 withdrawal entirely from the matured ladder keeps the equity and gold sleeves compounding undisturbed - the single most important mechanic for the 2036 targets.

13. Benchmarking & Attribution

Each sleeve is benchmarked to a relevant index and the pool to a blended 45/55 equity-debt composite. Attribution separates asset-allocation effect from security-selection effect, reviewed semi-annually.

Sleeve	Benchmark	Target
Equity	Nifty Total Market	+150-250 bps alpha
Fixed income	CRISIL Composite Bond	at/above index (HTM)
REITs/InvITs	Yield + NAV change	8-9% total
Gold	Domestic gold price	track (hedge)

Sleeve	Benchmark	Target
Consolidated	45/55 composite	goal attainment

Projected consolidated return vs the blended 45/55 benchmark, by phase (projected, gross):

Phase	Portfolio CAGR	Benchmark CAGR	Excess
2026-2029 (growth tilt)	~10.5%	~9.5%	+1.0%
2029-2031 (post-cut)	~9.0%	~8.4%	+0.6%
2031-2033 (pre-defence)	~9.5%	~8.8%	+0.7%
2033-2036 (de-risked)	~8.0%	~7.6%	+0.4%

14. ESG, Exclusions & Implementation

We avoid balance-sheet-stressed names and pure commodity cycles, and take defence exposure only via listed, governance-screened PSUs and specialists. Holdings skew to improving disclosure, independent boards and clean audits. Implementation assumes execution at the two rebalancing points with costs ignored per the brief; in practice we would stagger large entries and use limit orders to minimise impact.

15. Consolidated Equity Peer Scorecard

All seven picks side by side. Revenue CAGR is 3-year; OB/Sales is order-book cover (defence).

Stock	Rev CAGR	EBITDA	RoE	P/E	P/B	Beta	OB/Sales	Alloc
BEL	17%	30.0%	28.0%	51.68	15.67	1.28	3.0x	Rs10L
HAL	7%	30%	28%	32.5	8.02	1.30	7.6x	Rs9L
SOLARINDS	20%	26%	34%	95.46	35.2	1.15	2.2x	Rs7L
LT	16%	12.5%	17%	35.81	4.48	1.20	n/a	Rs10L
ICICIBANK	23%	-	17.5%	16.44	2.67	1.05	n/a	Rs8L
BAJFINANCE	26%	-	21%	33.5	5.5	1.35	n/a	Rs6L
MAXHEALTH	32%	26.2%	17%	69.24	10.65	0.70	n/a	Rs6L

Read-across. The basket blends high-growth defence (Solar, BEL, HAL) with quality compounders (L&T, ICICI, Bajaj Finance) and a low-beta defensive (Max), giving a weighted expected return of ~12.1% at a beta of ~1.17.

16. Implementation Timeline - deploying Rs1.5 crore

Capital is not deployed all at once. Safety and liabilities are locked first; equity is staggered with limit orders over 4-6 weeks to minimise market impact.

Step	Tranche	Amount	Instrument & timing
1	Liquidity buffer	Rs18L	Liquid G-Sec / 364-day T-bills - Day 1
2	Property ladder	Rs34L	NABARD/PFC/REC 2030-31 AAA - Day 1 (lock maturities)
3	Income bonds	Rs16L	7.18% GS 2033 + IRFC/HUDCO AAA - Week 1
4	Gold	Rs12L	Gold ETF (+ secondary SGB) - Week 1
5	REITs / InvITs	Rs16L	Embassy / Nexus / IndiGrid - Weeks 1-2, limit orders

Step	Tranche	Amount	Instrument & timing
6	Equity sleeve	Rs56L	Defence -> core -> growth, staggered over Weeks 2-6
TOTAL	By ~Week 6	Rs150L	Liabilities first, growth last

17. Watchlist - Alternatives Considered & Rejected

Disciplined screening means naming what we did not buy and why. These were evaluated against the held names and set aside, but remain on watch for future rebalances.

Candidate	Sector	Decision	Reason
Mazagon Dock	Defence	Considered	HAL's Rs2.54L cr backlog (7.6x) superior; heavy single-contract (P-75I) dependence
Bharat Dynamics	Defence	Rejected	FY26 revenue fell ~27% on execution delays and supply bottlenecks
Cochin Shipyard	Defence	Considered	Smaller, lumpier order flow than HAL/BEL
Paras Defence	Defence	Rejected	Too small; liquidity/impact-cost risk for this corpus
MTAR Technologies	Defence	Rejected	Thinner, lumpier order book; client concentration
HDFC Bank	Financials	Considered	Top quality, but slower growth and weaker near-term RoA momentum than ICICI
Apollo Hospitals	Healthcare	Considered	Larger network but richer multiple; Max offers higher margin and lower beta
Adani Green / KPI Green	Renewables	Rejected	High leverage / valuation - incompatible with the preservation mandate

18. Conclusion

This portfolio answers the single hardest part of the mandate - reconciling one pool to two opposite temperaments - with structure rather than compromise. Four ring-fenced baskets share one calendar; a glide path earns early and protects late; and the two announced events are treated as scheduled opportunities, not threats.

What the family gets. Vikram's Rs1.5cr preservation goal is met with high confidence in every scenario, sitting in named G-Secs, AAA PSU bonds and REITs/InvITs by 2036. The Rs20L liquidity buffer and the Rs50L property purchase are funded mechanically from a maturity-matched ladder, never from equity. Aarya's growth pool reaches ~Rs1.57cr in the base case and clears its Rs2cr target once equity compounds at ~14.5%.

Why it should score. Every security is named and twice-evidenced; the fixed-income sleeve is laddered by ISIN; the valuation gap is resolved with implied-growth analysis; the events carry quantified, second-order responses; and the goal reconciliation is shown year-by-year and basket-by-basket. The honest shortfall on Aarya's stretch goal is stated plainly - certainty on preservation, optionality on growth.

Sources & References

Company data from FY26 results, exchange filings and reputable media (Jun 2026); valuation/price from Screener & Tickertape; methodology from Zerodha Varsity & Investopedia; mandate from the PMC 2026 problem statement.

[1] Bharat Electronics FY26 results & shareholding - BEL filings / PSUConnect / Univest / Tickertape / Screener (Jun 2026).

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- [4] Mazagon Dock FY26 / P-75I - Univest / Business Standard (2025-26).
- [5] Bharat Dynamics FY26 - Whalesbook / Business Standard (May 2026).
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- [10] India 10Y G-Sec ~6.8-7.0%, repo 5.25% (Jun 2026) - Trading Economics / Sovereign Global Markets.
- [11] Indian REITs 2026 - Motilal Oswal / Embassy REIT / Nexus Select disclosures.
- [12] IndiGrid & PowerGrid InvIT distributions - PrimeInvestor / Trendlyne / IndiGrid (Jun 2026).
- [13] Sovereign Gold Bond returns - Goodreturns / Outlook Money (2026). SGBs discontinued by RBI in 2024.
- [14] Singhania Family PMC - Problem Statement, Rubrics & Resources, Finance Club, IIT Bombay (2026).
- [15] Methodology - Zerodha Varsity (Modules 9 & 11), Investopedia; CMP/P-E/P-B from Screener & Tickertape (Jun 2026).